



INSURANCE AND PENSIONS COMMISSION (IPEC)

REPORT ON

SHORT TERM (NON-LIFE) INSURANCE

FOR THE QUARTER ENDED 30 SEPTEMBER 2012

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1. List of Acronyms and Abbreviations

GPW	–	Gross Premium Written
NPW	–	Net Premium Written
IBNR	–	Incurred But Not Reported
ROE	–	Return on Equity
NEP	–	Net Earned Premium
O/S	–	Outstanding
UPR	–	Unearned Premium Reserve
IPEC/Commission	–	Insurance and Pensions Commission

NOTE: Unless stated otherwise, all monetary figures are in United States Dollars

2. Executive Summary

The objective of this report is to assess the performance as well as review developments that took place in the short term insurance industry during the quarter ended 30 September 2012. The report will also be in respect of other business written by insurance brokers, which may not necessarily be short term insurance business. The number of operational short term direct insurers and reinsurers remained twenty four (24) and nine (9) respectively as at 30 September 2012, which is the same number reported as at 30 June 2012. As at 30 September 2012, there were 30 insurance brokers.

Total gross premium written by insurers and reinsurers for the nine months ended 30 September 2012 amounted to \$141.12 million and \$69.51 million up from \$116.05 million and \$50.48 million respectively reported in the comparative period in 2011. Out of the total gross premium written during the period under review, \$77.04 million was underwritten through insurance brokers. Motor and fire insurance remained the dominant classes of business for the short term insurance industry.

Although the sector reported improvements in business volumes, profitability for both the direct short term insurers and reinsurers deteriorated owing to increase in loss ratios. Total profit after tax for short term insurers decreased marginally from \$3.74 million reported for the year to 30 September 2011 to \$3.54 million for the period under review while that of reinsurers decreased from \$2.54 million to \$0.02 million for the period under review. However, total profit after tax for insurance brokers improved from \$0.29 million reported for the nine months ended 30 September 2011 to \$2.06 million for the nine months ended 30 September 2012.

As at 30 September 2012, all operational short term direct insurers and reinsurers, except SFG Insurance Company, complied with minimum regulatory capital requirements, stipulated in Statutory Instrument 183 of 2009. In terms of the solvency ratio SFG Insurance Company and Tristar Insurance Company did not comply with the regulatory minimum of 25%.

The direct short term insurers, reinsurers and the insurance brokers reported a combined total asset base of \$271.84 million as at 30 September 2012. The combined total asset base is skewed towards current assets, which is in line with the short term nature of non-life insurance business.

Short term insurers reported average premium retention ratio of 51.39% during the year to 30 September 2012, compared to 50.15% reported in the corresponding period in 2011. Short term reinsurers, on the other hand, reported an average premium retention ratio of 75.29% for the year to 30 September 2012, up from 66.24% reported for the year to 30 September 2011.

SECTION A

3. Short-Term Insurance Companies

3.1. Update on the Number of Direct Short Term Insurers

The number of registered insurers remained twenty eight (28) as at 30 September 2012, the same number reported as at 30 June 2012. As at 30 September 2012 four of the registered insurers, namely Export Credit Guarantee Corporation (ECGC), Agricultural Insurance Company (AICO), Jupiter Insurance Company, and Suremed Insurance Company remained non-operational. Reasons for the operational status of these entities are elaborated in the second quarter report. At the time of compiling this report, SFG Insurance Company had been directed by the Commission to stop writing new business due to its insolvent position.

3.2. Business Written

Total gross premium written by the direct short term insurers increased from \$116.05 million for the year to 30 September 2011, to \$141.12 million reported during the year to 30 September 2012. The increase in gross premium was largely attributable to increases in gross premium emanating from motor, personal liability and miscellaneous insurance which amounted to \$14.32 million, \$3.26 million and \$3.24 million respectively.

Gross premium written from farming plunged from \$3.68 million reported for the nine months ended 30 September 2011 to \$2.04 million for the period under review. This could be attributable to side marketing which has since resulted in some insurers shunning farming insurance. This may not compliment the government's efforts to support the agricultural sector. The Commission has been made aware of challenges bedeviling insurers in farming insurance and urges insurers to put in place strategies to curb side marketing and the resultant premium leakages from the same business class. One of the strategies that may be considered is group insurance or insisting on payment of premium upfront.

Table 1 and Table 2 below show an extract of key indicators from the aggregated statement of comprehensive income and a breakdown of gross premiums written by class of business respectively.

Table 1: Performance Indicators (\$000)

Indicator	Year to 30 Sep 2012	Year to 30 Sep 2011	Percentage Change
Gross Premium Written	141,123	116,047	21.61%
Net Premium Written	72,527	58,196	24.63%
Net Earned Premium	69,982	57,973	20.72%
Net Claims Incurred	28,882	22,429	28.77%
Net Commission Incurred	4,120	5,394	-23.62%
Management Expenses	30,290	25,253	19.94%
Underwriting Profit	1,587	921	72.26%
Investment Income	2,188	2,035	7.52%
Profit Before Tax	5,218	4,774	9.31%
Profit After Tax	3,544	3,735	-5.12%

Table 2: Gross Premium Written by Class of Business (\$)

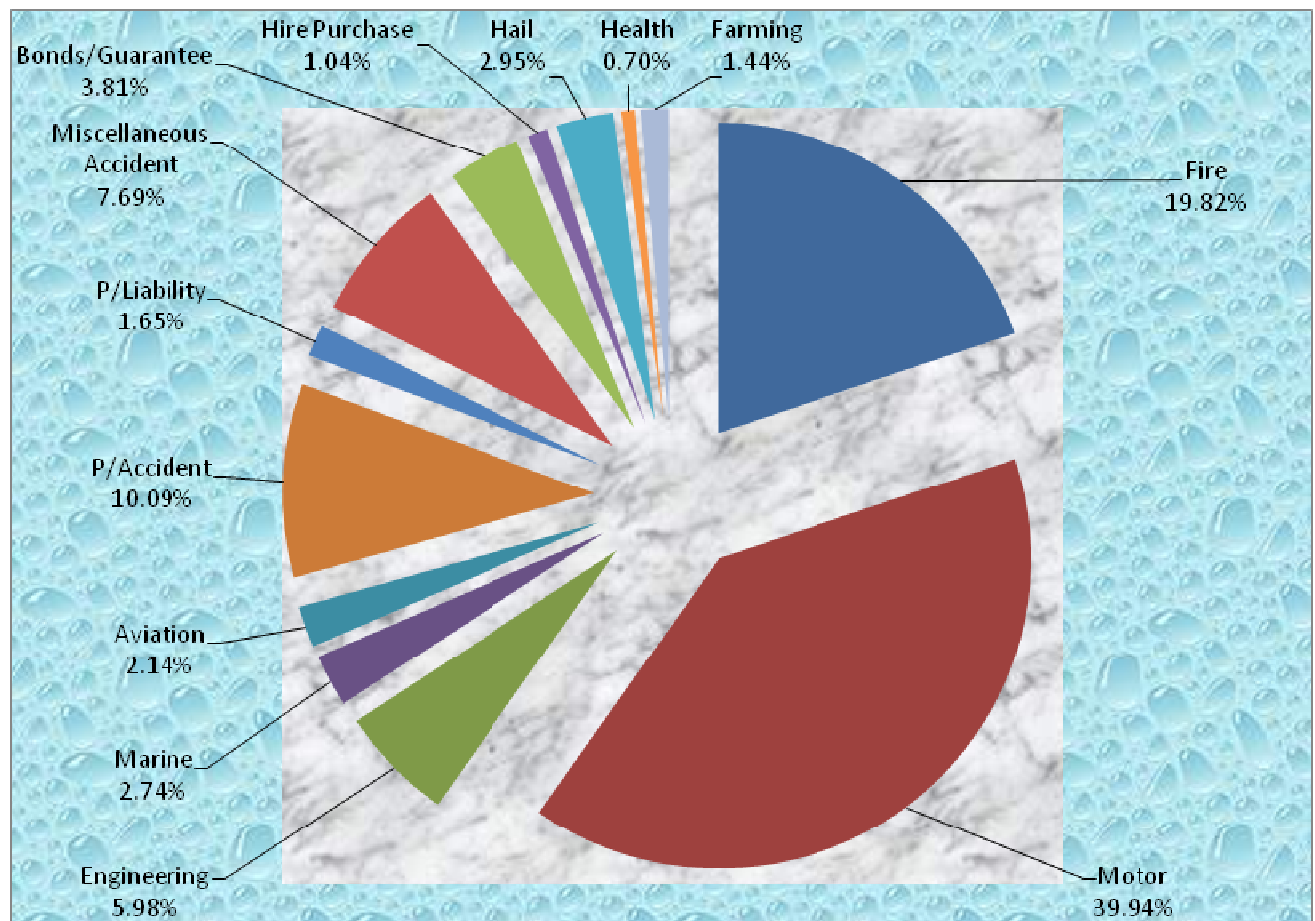
Contribution by Class	Year to 30 Sep 2012	Year to 30 Sep 2011	Percentage Change
Fire	27,972,099	27,313,164	2.41%
Motor	56,361,461	42,044,803	34.05%
Engineering	8,443,143	5,937,578	42.20%
Marine	3,869,910	3,471,616	11.47%
Aviation	3,025,115	2,515,633	20.25%
Personal Accident	14,238,052	10,976,493	29.71%
P/Liability	2,330,539	1,489,094	56.51%
Miscellaneous Accident	10,845,529	7,608,946	42.54%
Bonds/Guarantee	5,383,771	5,339,002	0.84%
Hire Purchase	1,469,045	1,437,303	2.21%
Hail	4,163,015	4,091,397	1.75%
Health	983,762	147,238	568.14%
Farming	2,037,213	3,675,162	-44.57%
Total	141,122,654	116,047,429	21.61%

3.3. Distribution of Gross Premium Written by Business Class

The distribution of business in terms of gross premium written continued to be skewed towards motor and fire insurance which contributed 39.94% and 19.82% of total gross premium written for the period under review, respectively. Notwithstanding the distribution of business being skewed towards motor and fire insurance, concentration risk is considered moderate given the spread of business across all business classes as shown in Figure 1 below.

Although bonds and guarantees contributed a negligible proportion of 3.81% of total gross premium written for all short term insurers, The Commission has noted instances where guarantees have caused threats to the survival of some insurers. More so given that the business in respect of bonds/guarantees is concentrated in a few insurers. Insurers should always subject their credit guarantee policies to thorough risk assessment prior to implementing the same. In addition, insurers should always insist on perfecting collateral security so that they have a fall back position in the event of them being called upon to perform when losses occur.

Figure 1: Distribution of Business by Gross Premium Written



3.4. Earnings

Although the business volume reported was on the upward trend, direct short term insurers reported total profit after tax of \$3.54 million for the year to 30 September 2012 which compared unfavorably with \$3.74 million reported for the comparative period in 2011. The marginal decrease in the profit after tax was mainly attributable to a decline of \$1.09 million in unrealized gains from equities which amounted to negative \$693,345 for the period under review down from \$396,231 in the comparative period in 2011. The industry average profit for the year to 30 September 2012 was \$147,674. A total of nine (9) insurers out of the twenty four (24) operating institutions reported profit after tax which was below the industry average. Table 1 in section 3.2 shows the key earnings performance indicators for the year to 30 September 2011 and 30 September 2012.

The average combined ratio for the insurers decreased marginally from 91.6% for the nine months ended 30 September 2011 to 90.44% for the period under review reflecting an improvement in profitability. Although the combined ratio improved marginally, the loss ratio (net claims incurred ratio) deteriorated from 38.69% for the year to 30 September 2011 to 41.27% for the period under review. The net commission ratio reported was 5.89%, indicating a significant improvement from 9.31% reported in the comparative period in 2011.

Underwriting profits amounted to \$1.59 million for the period under review reflecting that the direct short term insurers derived the bulk of their profits from their core business, which may indicate, the sustainability of the profitability.

Although the consolidated figures for all the direct short term insurers indicate that, the sector recorded profits in the year to 30 September 2012, the Commission has noted with concern that a total of five (5) insurers recorded losses during the same period (for more details see Appendix A). A review of the statements of comprehensive income for the loss making insurers indicate that the losses were mainly attributable to high management expenses, high losses and unrealized losses from marking to market of equity portfolios.

3.5. Capitalization

As at 30 September 2012, all operating direct short term insurers, except for SFG Insurance Company, were compliant with the regulatory minimum capital of \$300,000 stipulated in Statutory Instrument 183 of 2009 (see table 3 below). SFG Insurance Company has since been directed to stop writing new business pending the pursuance of recapitalization initiatives.

As announced by the Minister of Finance in his 2013 National Budget Statement the minimum regulatory capital requirement for all short term insurers is now \$1.5 million and all insurers are required to have complied with 50% of the same by 30 June 2013. Full compliance to the minimum regulatory requirements is required by 30 June 2014. As at 30 September 2012, only six (6) insurers reported capital levels which were below 50% of the minimum capital requirement which is \$750,000. This implies that, barring any erosion of capital, the majority of the insurers are on course to comply with the 30 June 2013 deadline.

The total capital base for direct short term insurers was skewed towards share premium which contributed 30.58% of the same, followed by revaluation and other reserves which constituted 27.57%. Revaluation reserves may not be sustainable especially when the market is volatile, and this may bring to question the permanence of that proportion of capital attributable to revaluation reserves. Figure 2 below shows the breakdown of the capital base as at 30 September 2012.

Figure 2: Breakdown of the Total Capital Base

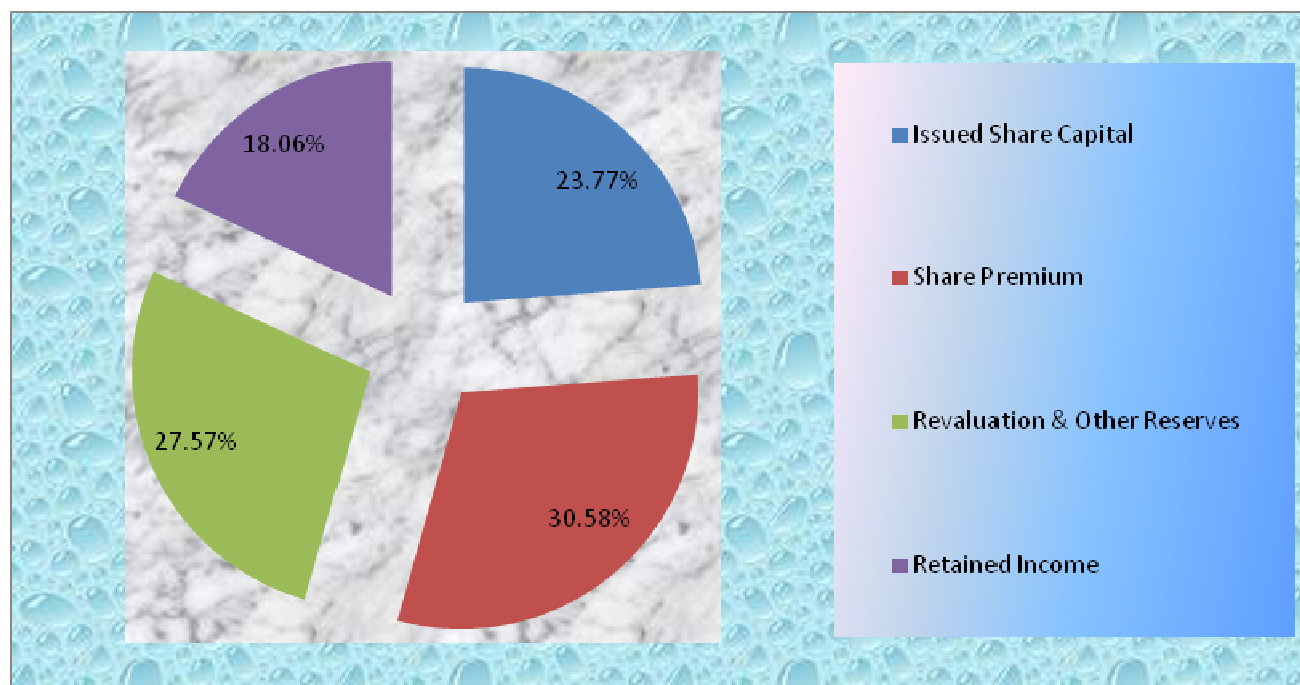


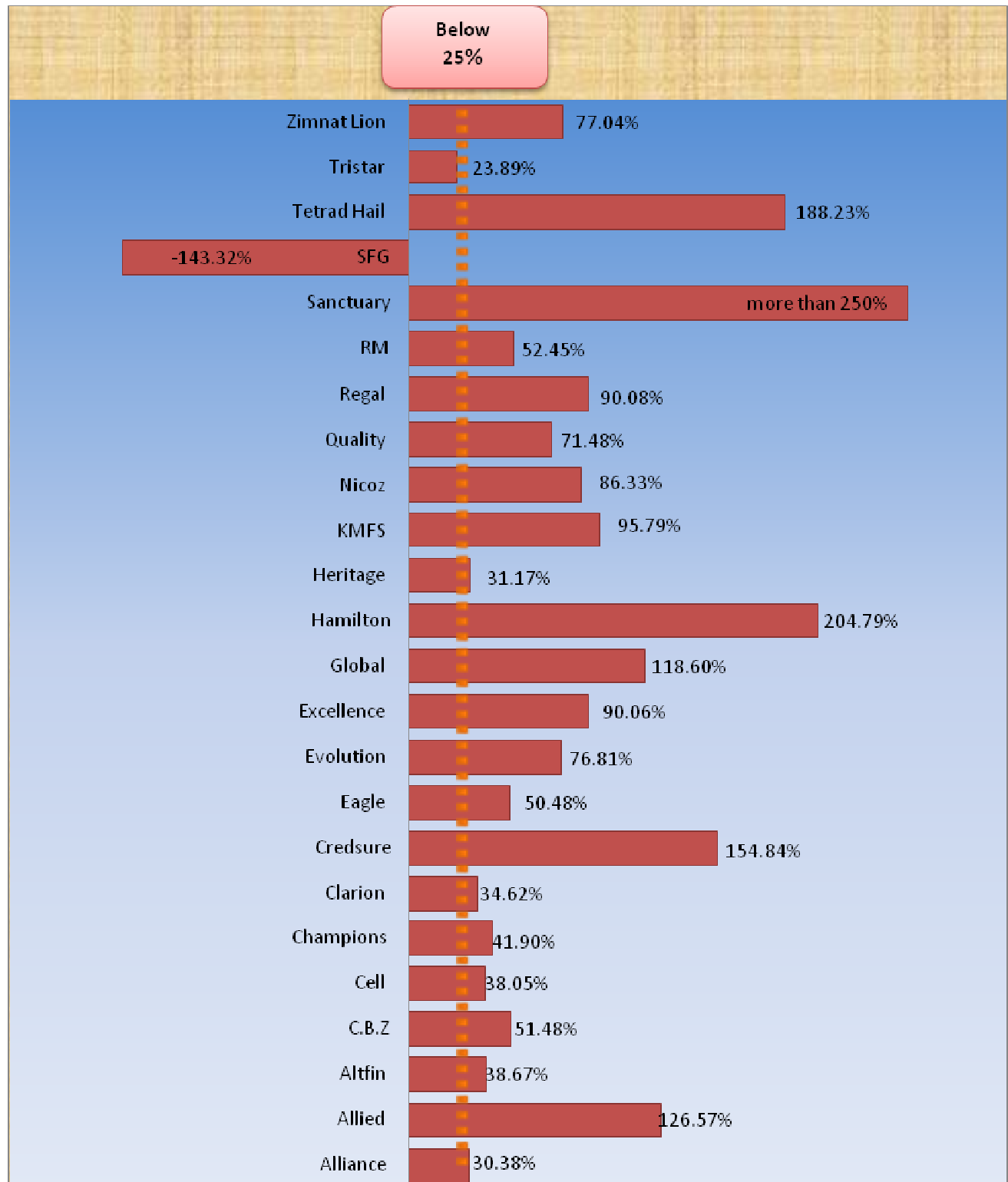
Table 3: Levels of Capitalization

Name of Insurance Company	Reported Capital Position as at 30 Sep 2012 (\$)
Alliance Insurance Company	3,012,352
Allied Insurance Company	816,249
Altfin Insurance Company	1,779,000
C.B.Z Insurance Company	1,080,425
Cell Insurance Company	2,352,221
Champions Insurance Company	745,958
Clarion Insurance Company	641,620
Credsure Insurance Zimbabwe Limited	2,615,843
Eagle Insurance Company	2,098,463
Evolution Insurance Company	1,018,468
Excellence Insurance Company	418,866
Global Insurance Company	1,144,463
Hamilton Insurance Company	1,164,895
Heritage Insurance Company	1,090,357
KMFS Insurance Company	914,931
Nicoz Diamond Insurance Company	8,019,000
Quality Insurance Company	737,000
Regal Insurance Company	518,311
RM Insurance Company	5,618,413
Sanctuary Insurance Company	1,370,666
SFG Insurance Company	(1,662,633)
Tetrad Hail Insurance Company	2,292,560
Tristar Insurance Company	846,293
Zimnat Insurance Company	3,248,466

As shown in figure 3 below, all operational direct short term insurers, except for SFG Insurance Company and Tristar Insurance Company were compliant with the minimum regulatory solvency ratio of 25%. Sanctuary Insurance Company reported the highest solvency ratio of 1,651.78% implying that the institution is not sweating its capital. The short term insurance industry average

solvency ratio was 53.27% as at 30 September 2012, compared with 83.57% reported as at 30 June 2012. Figure 3 below shows the solvency ratios for all the direct short term insurers as at 30 September 2012.

Figure 3: Solvency Ratios

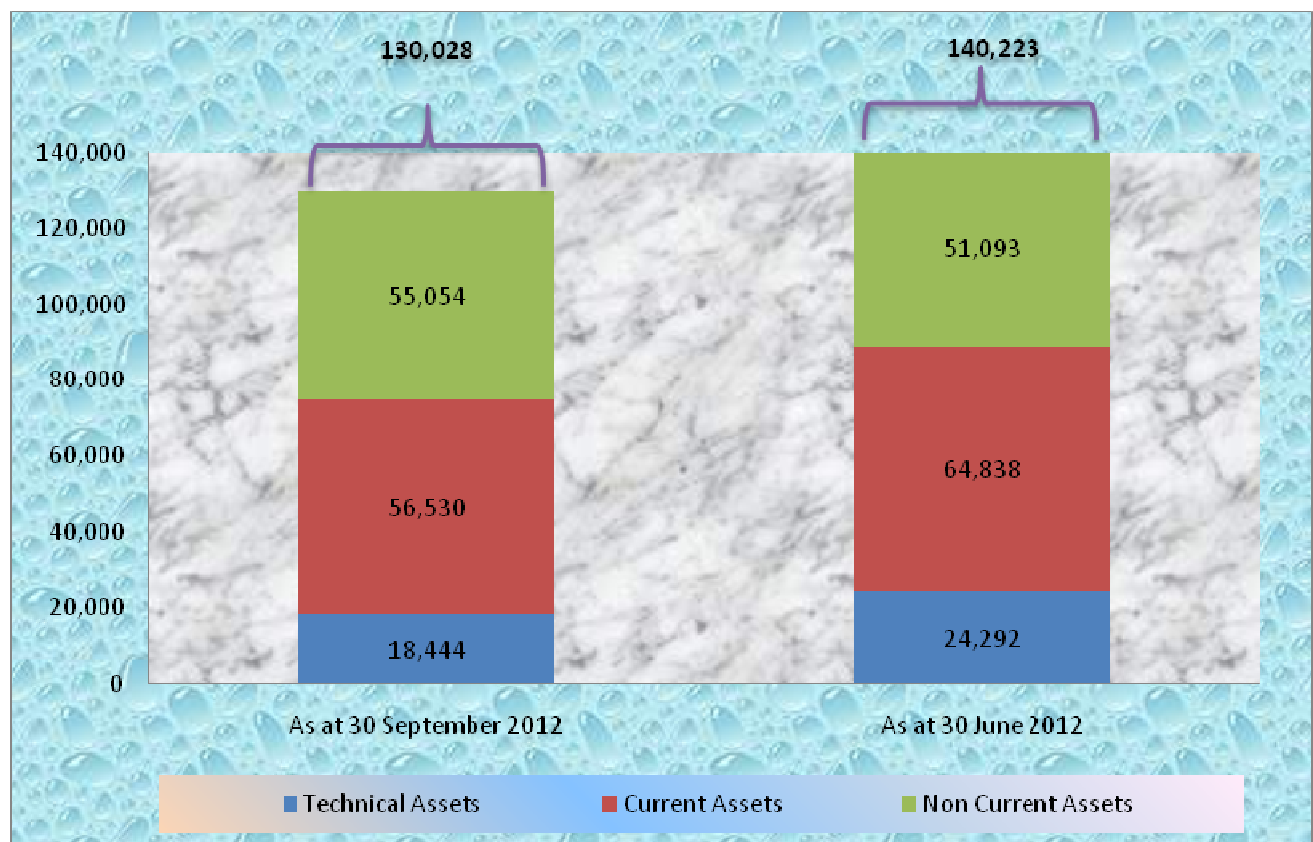


3.6. Asset Quality

Total assets decreased from \$140.22 million as at 30 June 2012 to \$130.03 million as at 30 September 2012. The decrease was largely driven by a decline in current assets from \$64.84 million as at 30 June 2012 to \$56.53 million as at 30 September 2012. The decline in current assets was mainly attributable to reduction in premium receivable from \$41.33 million as at 30 June 2012 to \$29.64 million as at 30 September 2012. The shrinkage of the direct short term insurers' balance sheets shown by the decrease in total assets is not in line with the reported increases in business volumes and this might be a red flag.

The proportion of current assets attributable to premium receivable decreased from 63.75% as at 30 June 2012 to 52.44%. This trend is commendable given that a significant proportion of premium receivable, in most cases, is not eventually realized by the insurers. The asset base as at 30 September 2012 was marginally skewed towards current assets which contributed 43.48% of total assets. The skewness of the direct short term insurers' asset base towards current assets is in tandem with the short term insurance business. Figure 4 below shows the composition of the asset base as at 30 June 2012 and 30 September 2012.

Figure 4: Assets Composition of Short-Term Insurers (\$000)

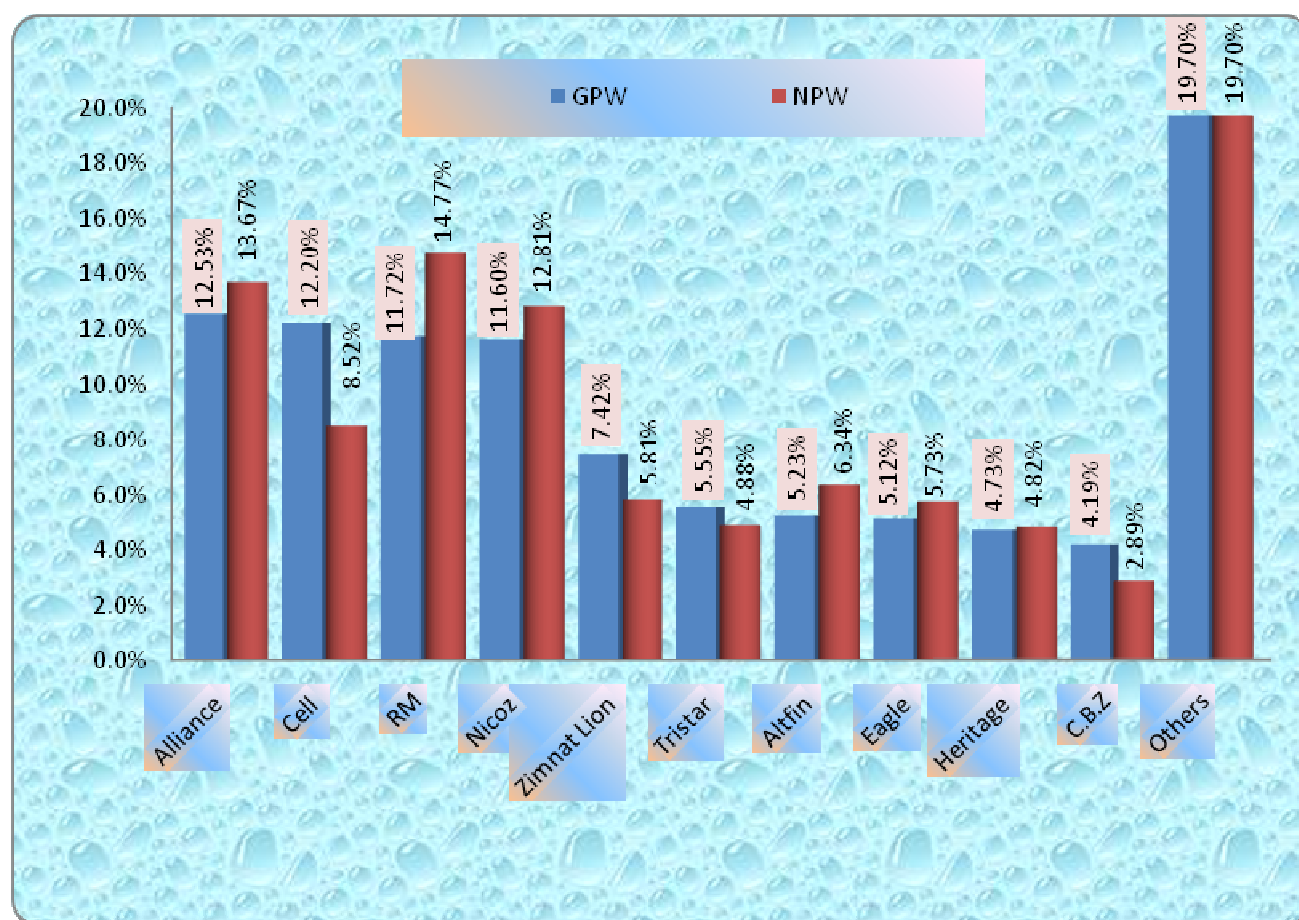


3.7. Market Share for Short-Term Insurers

The top three insurers in terms of gross premium written namely, Alliance Insurance Company, Cell Insurance and RM Insurance Company had a combined market share of 36.46%. In terms of net premium written, the top three insurers were RM Insurance Company, Alliance Insurance Company and Nicoz Diamond with a combined market share of 41.25%.

The figures reported indicate that the direct short term insurers' sector remained unconcentrated during the period with Herfindahl Indices¹ of 0.08 in terms of both gross premium written and net premium written. This implies that there are no clear-cut insurers who control the market, a situation which may translate into competition which is beneficiary for the policyholders and policy beneficiaries. Figure 5 below shows the market shares in terms of gross premium written and net premium written for the period under review.

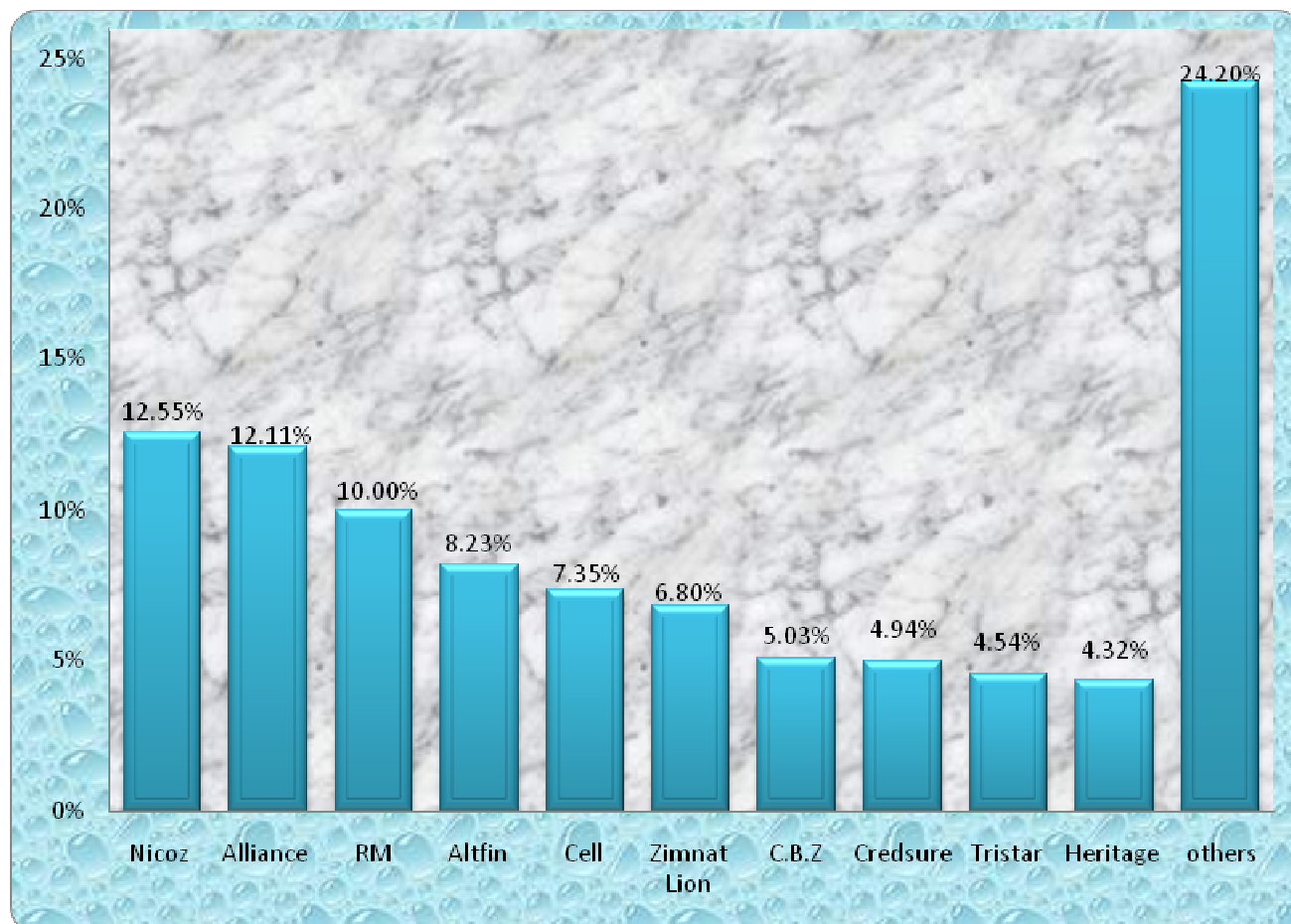
Figure 5: Market Share in Terms of GPW and NPW



¹ The Herfindahl Index is the sum of squared market shares of firms in an industry. An index below 0.1 indicates an unconcentrated industry, an index of 0.1 to 0.18 indicates moderate concentration and an index above 0.18 indicates high concentration.

As shown in Figure 6 below, Nicoz Diamond Insurance Company, Alliance Insurance Company and RM Insurance Company were the market leaders in terms of total assets with a combined market share of 34.66%, as at 30 September 2012.

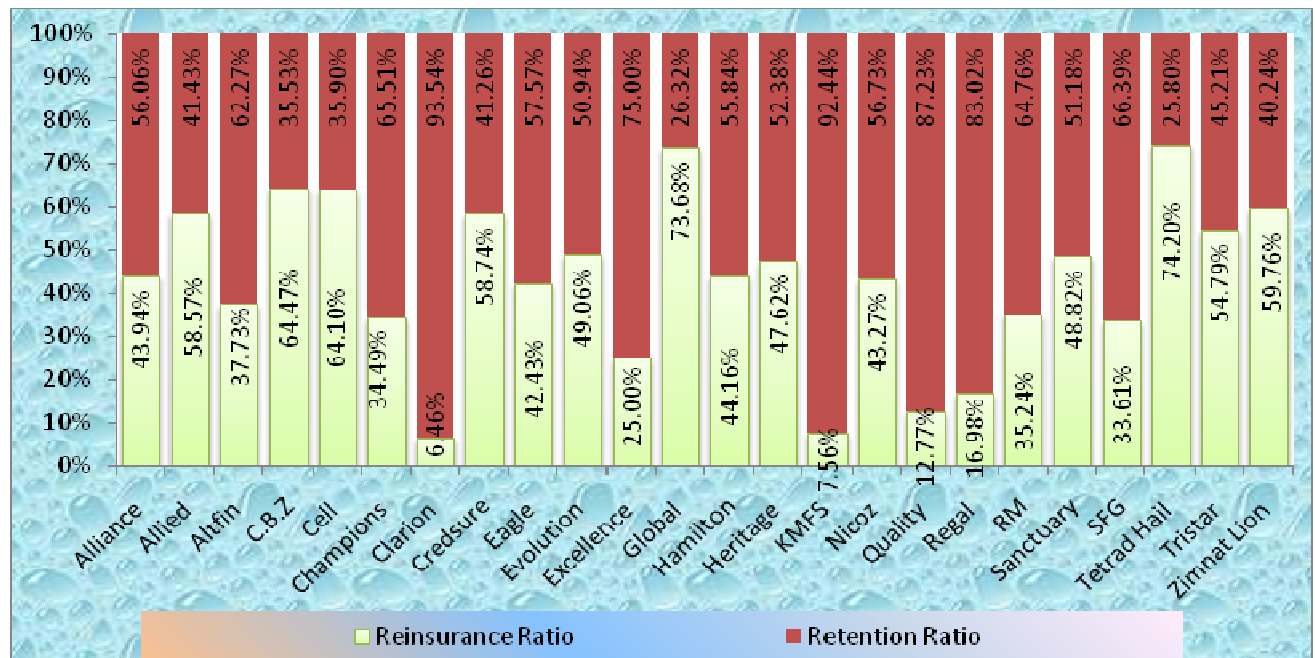
Figure 6: Market Share in Terms of Asset Base



3.8. Reinsurance

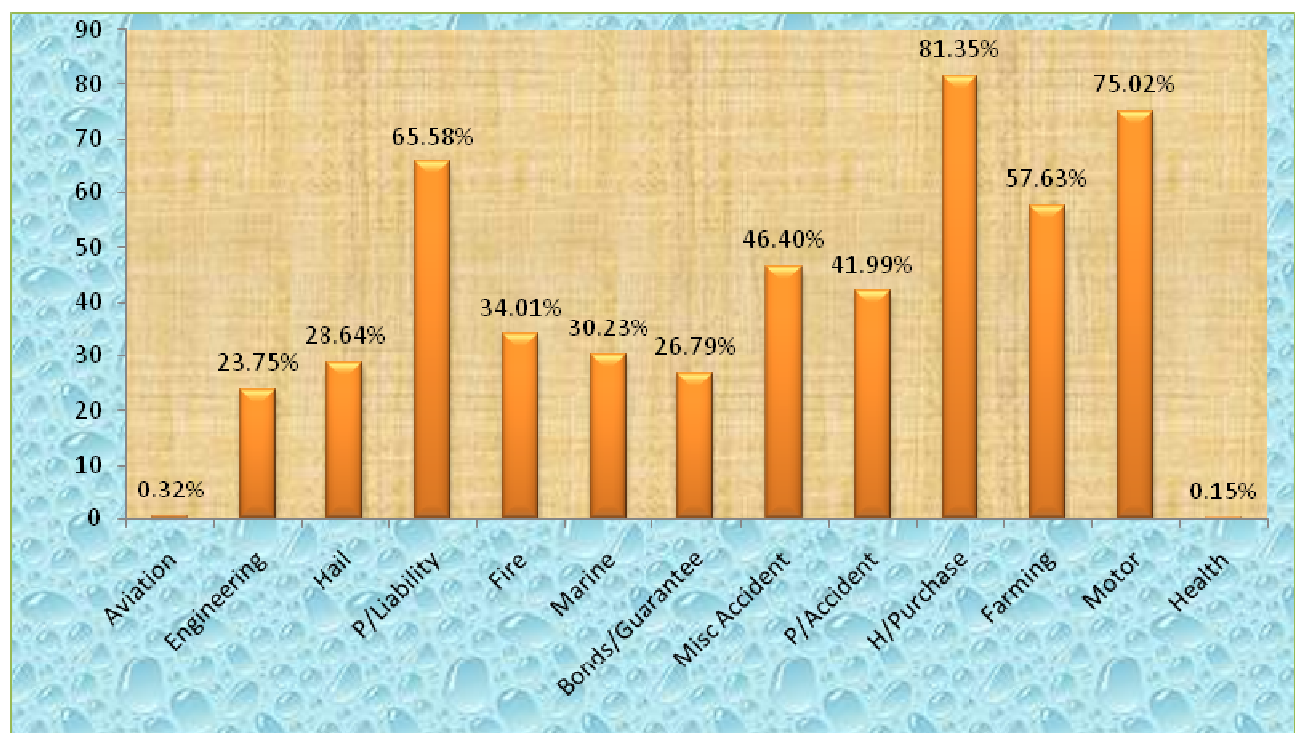
The short term insurance industry on average retained 51.39% of the gross premium written during the year to 30 September 2012. This indicates a marginal increase from 50.15% reported during the comparative period in 2011 which reflects that there was no significant change in the insurers' risk appetite. The retention ratios for individual insurers ranged from 26.32% to 93.54%. Clarion Insurance Company and KMFS Insurance Company reported the highest retention ratios of 93.54% and 92.44% respectively. These retention levels are beyond the capacities of these insurers, which may imply that these insurers are overstressing their capital positions. Figure 6 below shows the retention/reinsurance ratios for all the direct short term insurers for the period under review.

Figure 7: Reinsurance/Retention for Short Term Companies



The lowest premium retention ratios of 0.15% and 0.32% were reported in health and aviation insurance respectively as shown in figure 8 below, indicating a relatively higher degree of risk aversion in the same classes. The highest premium retention ratios of 81.35% and 75.02% were reported in hire purchase and motor insurance respectively.

Figure 8: Retention by Class



SECTION B

4. Reinsurance Companies

4.1. Update on the Number of Short Term Reinsurers

The number of registered short term reinsurers remained ten (10), the same number reported as at 30 June 2012. Out of these registered reinsurers nine (9) were operational. Horizon Reinsurance Company is yet to commence operations since its registration in January 2012.

4.2. Business Written

The gross premium written for the nine months ended 30 September 2012 amounted to \$69.51 million, reflecting a 37.70% increase from \$50.48 million reported for the comparative period in 2011. The increase in gross premium written was buoyed by increases in business written from miscellaneous accident and fire insurance. Gross premium from miscellaneous accident and fire insurance increased by \$4.2 million and \$4.15 million from \$8.68 million and \$16.64 million for the nine months ended 30 September 2011 to \$12.88 million and \$20.80 million for the period under review respectively. Table 4 and table 5 below show an extract of key indicators from the aggregated statement of comprehensive income as well as a breakdown of gross written premiums written by the short term reinsurers during the period under review.

Table 4: Key Performance Indicators (\$ 000)

Indicator	Year to 30 Sep 2012	Year to 30 Sep 2011	Percentage Change
Gross Premium Written	69,511	50,479	37.70%
Net Premium Written	50,069	33,438	49.74%
Net Earned Premium	48,356	30,029	61.03%
Net Claims Incurred	20,654	10,178	102.93%
Net Commission Incurred	13,780	8,670	58.94%
Management Expenses	115	10,751	-98.93%
Underwriting Profit	(931)	906	-202.80%
Investment Income	2,288	984	132.48%
Profit Before Tax	453	2,918	-84.49%
Profit After Tax	22	2,542	-99.12%

A comparison of business generated from different business classes for the year to 30 September 2012 with that for the year to 30 September 2011 indicates that hail and farming insurance continued to record the highest GPW growth rates of 1,687.19% and 122.68% respectively as shown

in table 5 below. Gross premium written attributable to health insurance and bonds/guarantees decreased from \$1.80 million and \$0.68 million reported for the year to 30 September 2011, to \$0.32 million and \$0.39 million for the period under review respectively.

Table 5: Gross Written Premiums by Class of Business (\$ 000)

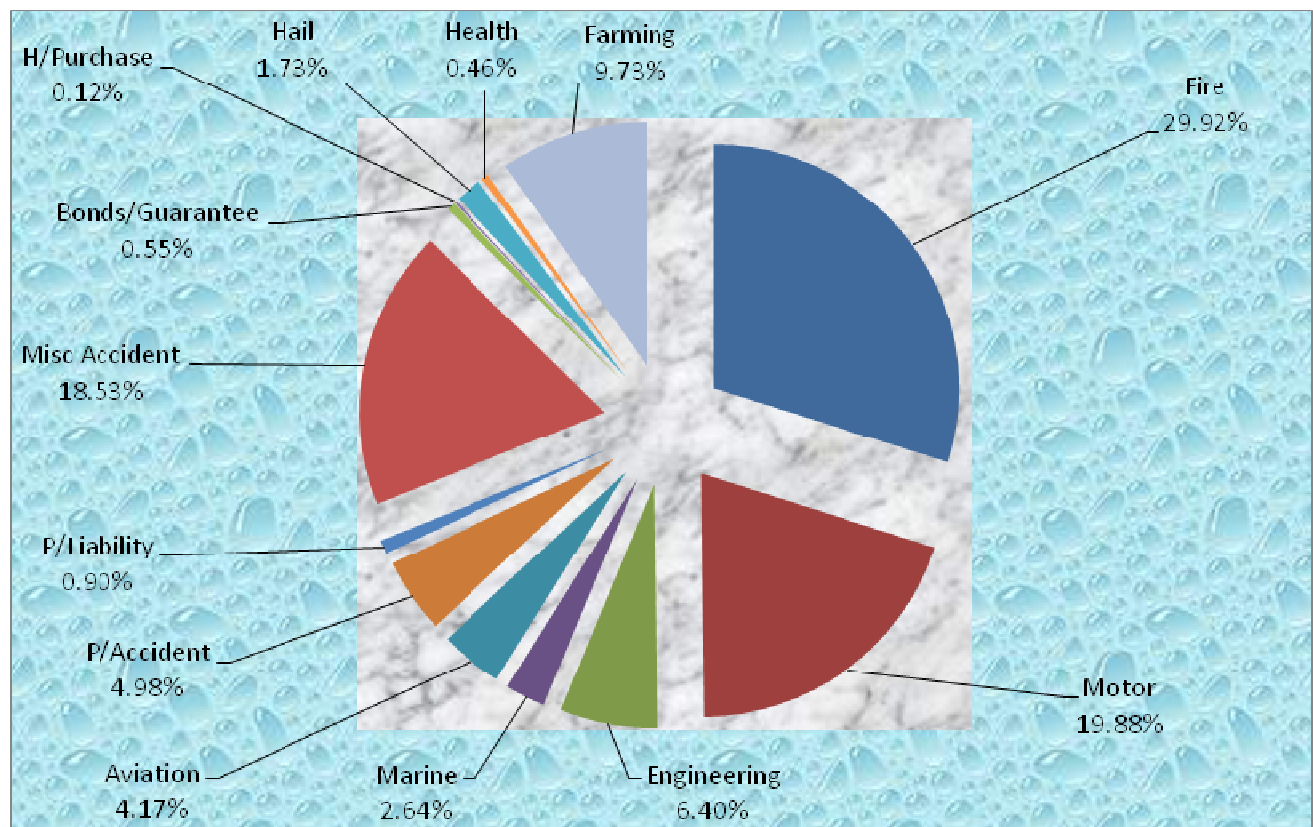
Contribution by Class	Year to 30 Sep 2012	Year to 30 Sep 2011	Percentage Change
Fire	20,795	16,643	24.95%
Motor	13,818	9,776	41.34%
Engineering	4,448	3,492	27.40%
Marine	1,832	1,148	59.65%
Aviation	2,895	2,768	4.58%
Personal Accident	3,464	2,053	68.70%
P/Liability	628	301	108.56%
Miscellaneous Accident	12,877	8,678	48.39%
Bonds/Guarantee	385	673	-42.74%
Hire Purchase	84	44	89.41%
Hail	1,201	67	1,687.19%
Health	322	1,799	-82.10%
Farming	6,761	3,036	122.68%
Total	69,511	50,479	37.70%

4.3. Distribution of Gross Premium Written by Business Class

The business underwritten by short term reinsurers for the year to 30 September 2012 was largely attributable to fire and motor insurance which contributed 29.92% and 19.588% of gross premium written respectively. This shows a marginal improvement, in terms of the concentration of business, from the comparative period in 2011 wherein the then dominant classes of business namely fire and motor insurance accounted for 33% and 19% of total gross premium written respectively. The Commission has noted that there could be some distortions by both direct insurers and reinsurers in terms of classifying business between farming and hail insurance, given that the figures reported especially for hail are not consistent.

Figure 9 below shows the distribution of business by class of business based on gross premium for the year to 30 September 2012.

Figure 9: Distribution of Business



4.4. Earnings

Total profit after tax for the reinsurers amounted to \$22,295 for the year to 30 September 2012, which compares unfavorably to \$2.54 million reported for the comparative period in 2011. All the reinsurers except Baobab Reinsurance Company reported profits after tax ranging from \$2,961 to \$1.18 million for the period under review. Given the size and systemic importance of Baobab Reinsurance Company, its negative profit after tax of \$3.62 million resulted in a relatively low total profit after tax for all the short term reinsurers of \$22,295. The industry average for profit after tax amounted to \$2,477. Except for Baobab Reinsurance Company, all the reinsurers reported profit after tax positions which were above the industry average.

Although the level of business written was on the upward trend, the top two reinsurers in terms of gross premium written, namely Baobab Reinsurance Company and FMRE Property and Casualty reported decreases in their profit after tax from negative \$0.89 million and \$1.48 million for the

year to 30 September 2011 to negative \$3.62 million and \$2,961 for the period under review respectively. The deterioration of earnings for the two entities was largely attributable to an increase in claims which was not in line with the increase in business written. This deterioration in earnings may be a red flag and the concerned entities should devise strategies to arrest further deterioration in their earnings performance.

The total underwriting profit for the reinsurers decreased from \$0.91 million for the year to 30 September 2011 to negative \$0.93 million for the period under review. The decrease in underwriting profitability is also evidenced in the deterioration of the reinsurer's average underwriting margin from 1.79% for the year to 30 September 2011 to negative 1.34% for the period under review. The short term reinsurers recorded an average combined ratio of 102.88% for the nine months ended 30 September 2012, compared with 98.57% recorded in the comparative period in 2011, reflecting deterioration in underwriting profitability.

The loss ratio deteriorated from 33.89% for the nine months ended 30 September 2011 to 42.71% for the period under review. The deterioration in the loss ratio may imply the decline in the quality of business written. Notwithstanding the deterioration in the loss ratio, the loss ratio reported was still below the international benchmark of 60%. The sector reported return on equity of 0.04% for the year to 30 September 2012 down from 4.61% reported in the comparative period in 2011.

4.5. Capitalization

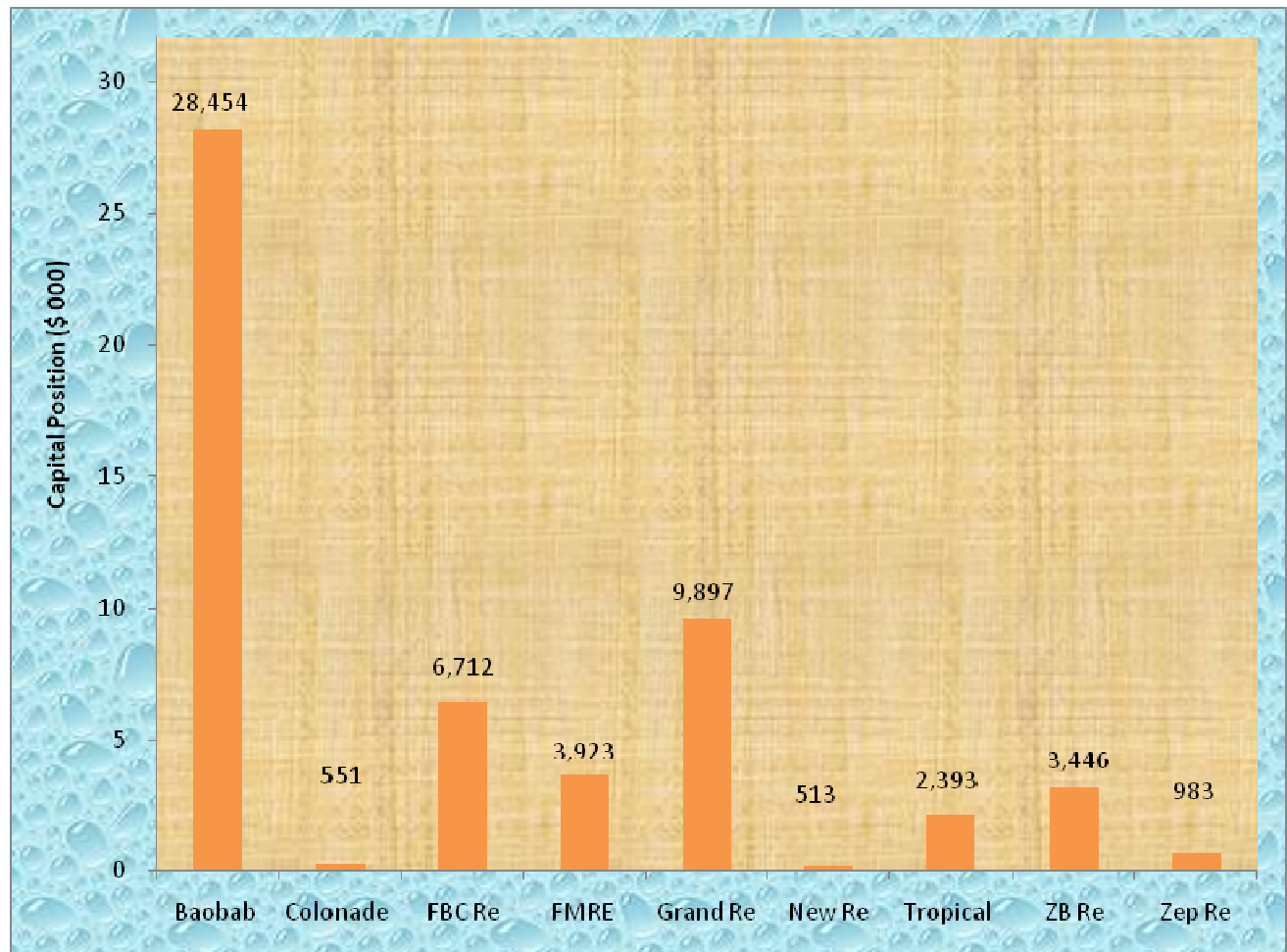
As at 30 September 2012, all the short term reinsurers reported capital levels which were compliant with the regulatory minimum requirement of \$400 000 stipulated in Statutory Instrument 183 of 2009. The capital levels reported by all the reinsurers are shown in figure 10 below.

As announced by the Minister of Finance in the 2013 National Budget Statement, the new regulatory minimum capital requirement for reinsurers is \$1.5 million. All reinsurers are required to have complied with 50% of the minimum capital requirement, i.e. \$750,000 by 30 June 2014, and full compliance is required by 30 June 2014.

As shown in figure 10 below, Colonnade Reinsurance Company and New Reinsurance Company reported capital levels which were below \$750,000 which should be complied with by 30 June 2013. This implies that in the absence of any organic growth, the two reinsurers need to put in place

concrete recapitalization plans to ensure that they comply with the regulatory minimum capital requirements effective 30 June 2013. In light of the fact that Colonnade Reinsurance Company did not provide for incurred but not reported claims (IBNR), its liabilities are understated and this results in the overstatement of the reinsurer's capital position.

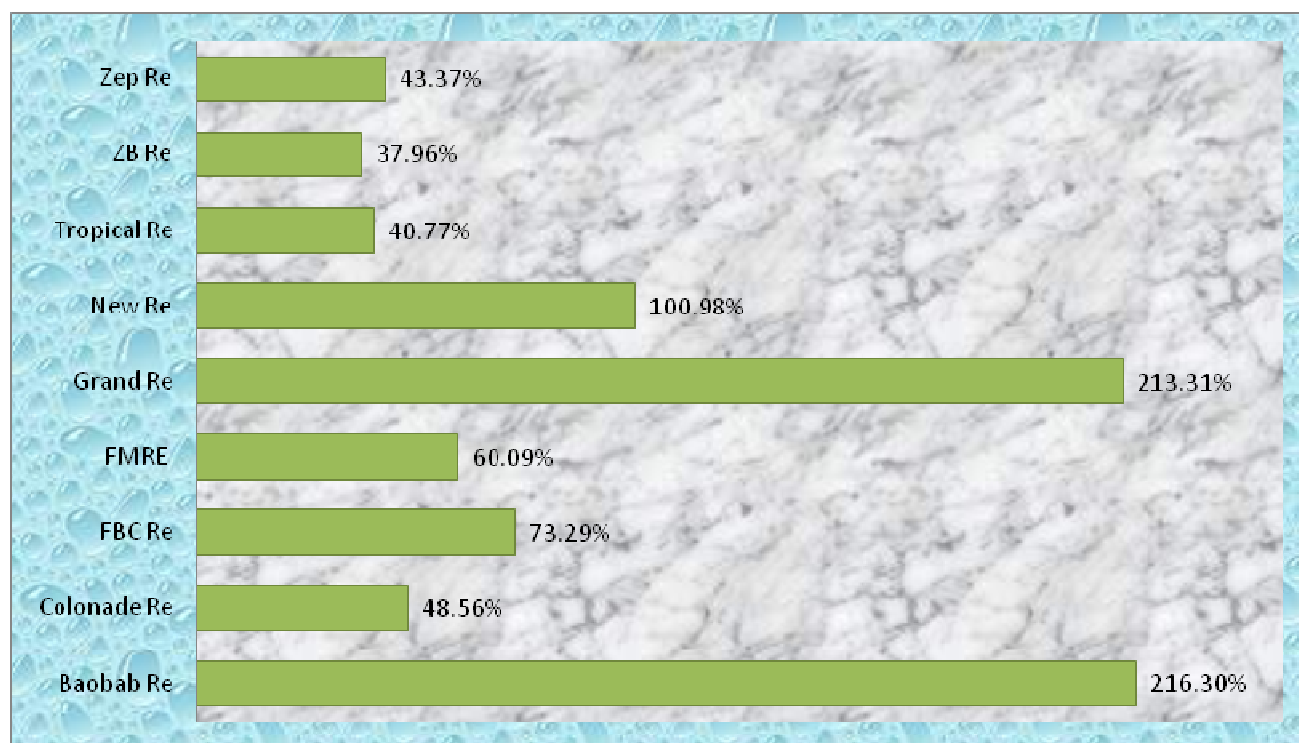
Figure 10: Shareholders Equity



Note: The local operations of ZEP Re are also supported by the institution's overall statement of financial position which is based on the reinsurers' operations in all countries where it is represented.

As shown in figure 11 below all reinsurers reported solvency ratios which were compliant with the prudential minimum of 25%. The average solvency ratio for the short term reinsurers was 111.62% which is significantly above the internationally accepted threshold of 40%.

Figure 11: Solvency Ratios



4.6. Asset Quality

Total assets for the reinsurers continued on the upward trend and amounted to \$108.21 million as at 30 September 2012, reflecting a 3.68% growth from, \$104.37 million reported as at 30 June 2012. The increase in total assets was mainly attributable to growth in premiums receivable and cash & cash equivalents which increased by \$2.05 million and \$0.83 million respectively.

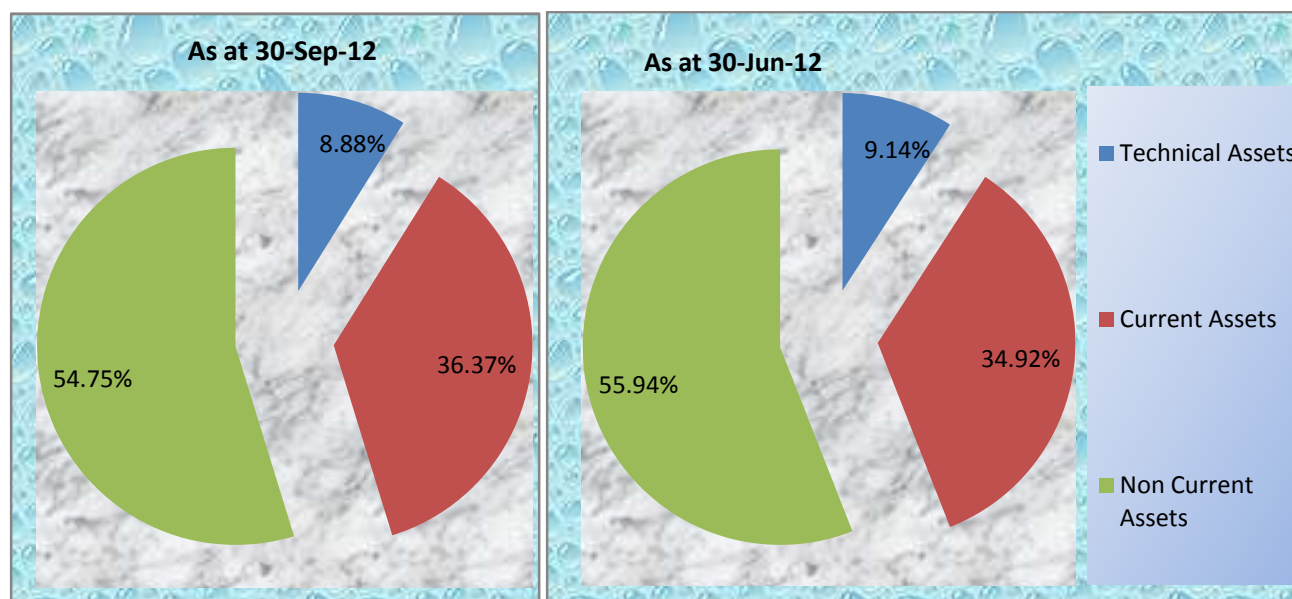
The growth in cash and cash equivalents is commendable given that it may improve the liquidity position of the reinsurers in line with the short term nature of their business. On the other hand the increase in premium receivable may signal the deterioration of the reinsurers' asset quality given that some of the premiums receivable may end up not being realized. The table below shows the breakdown of total assets as at 30 September 2012 and 30 June 2012.

Table 6: Breakdown of Total Assets (000)

Component	30-Sep-12	30-Jun-12
Technical Assets	9,609	9,542
Current Assets	39,358	36,441
Non-Current Assets	59,241	58,384
Total Assets	108,208	104,367

The increase in premiums receivable and cash & cash equivalents alluded to above resulted in a marginal increase in the proportion of total assets attributable to current assets from 34.92% as at 30 June 2012 to 36.37% as at 30 September 2012. As shown in figure 12 below total assets for the short term reinsurers remained skewed towards non current assets, a situation which is not in sync with the short term nature of the same reinsurers' business.

Figure 12: Composition of Total Assets for Reinsurers



4.7. Market Share for Reinsurers

As at 30 September 2012, the reinsurers recorded Herfindahl indices of 0.16 and 0.18 in terms of gross premium written and net premium written respectively. This implies that the market remained moderately concentrated. The top three reinsurers in terms of gross premium written were Baobab Reinsurance Company, FMRE Property and Casualty and ZB Reinsurance Company with a combined market share of 57.14% as at 30 September 2012. As shown in figure 13 below, Baobab Reinsurance Company, FBC Reinsurance and ZB Reinsurance Company were the top three reinsurers in terms of net premium written.

In terms of total assets, the short term reinsurers recorded a Herfindahl index of 0.25 implying that the short term reinsurance sector remained highly concentrated. As shown in figure 14 below, Baobab Reinsurance Company, FBC Reinsurance Company and Grand Reinsurance Company were the top three reinsurers in terms of total assets with a combined market share of 71.74%.

Figure 13: Market Share in terms of GPW/NPW

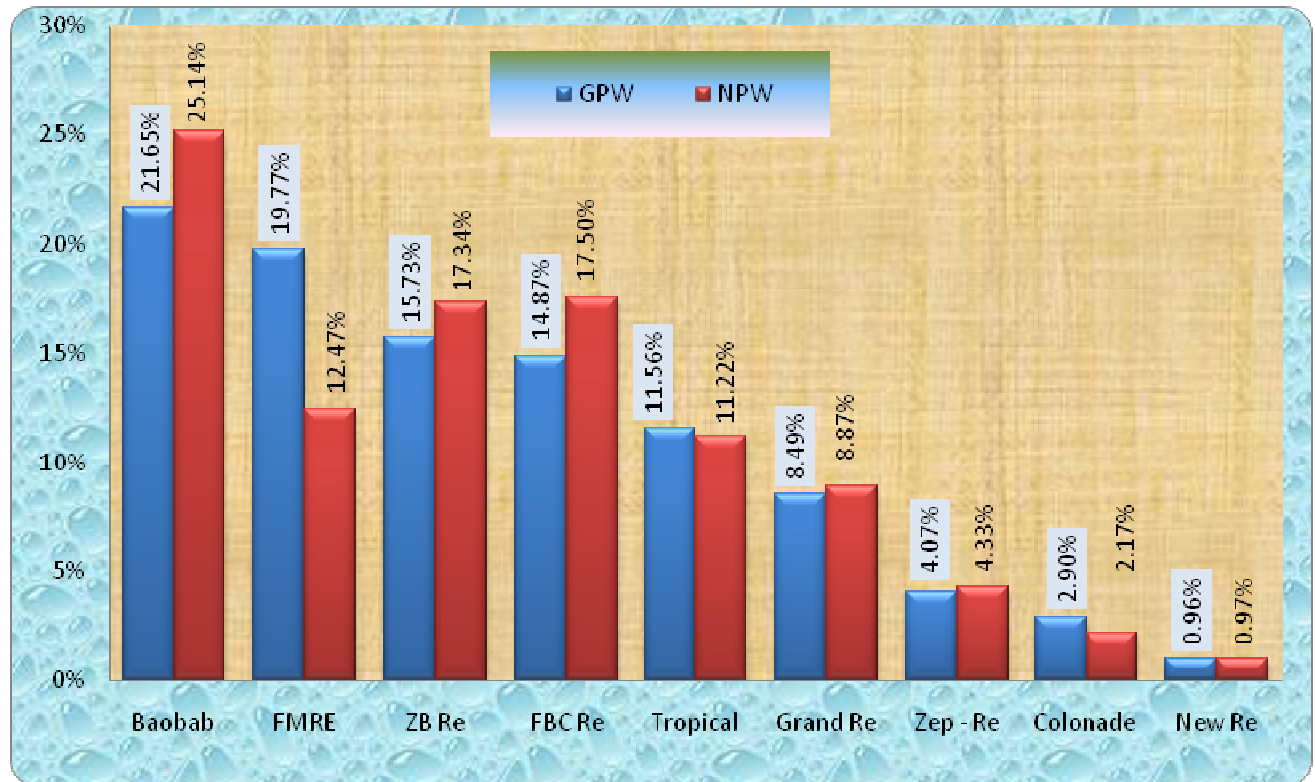
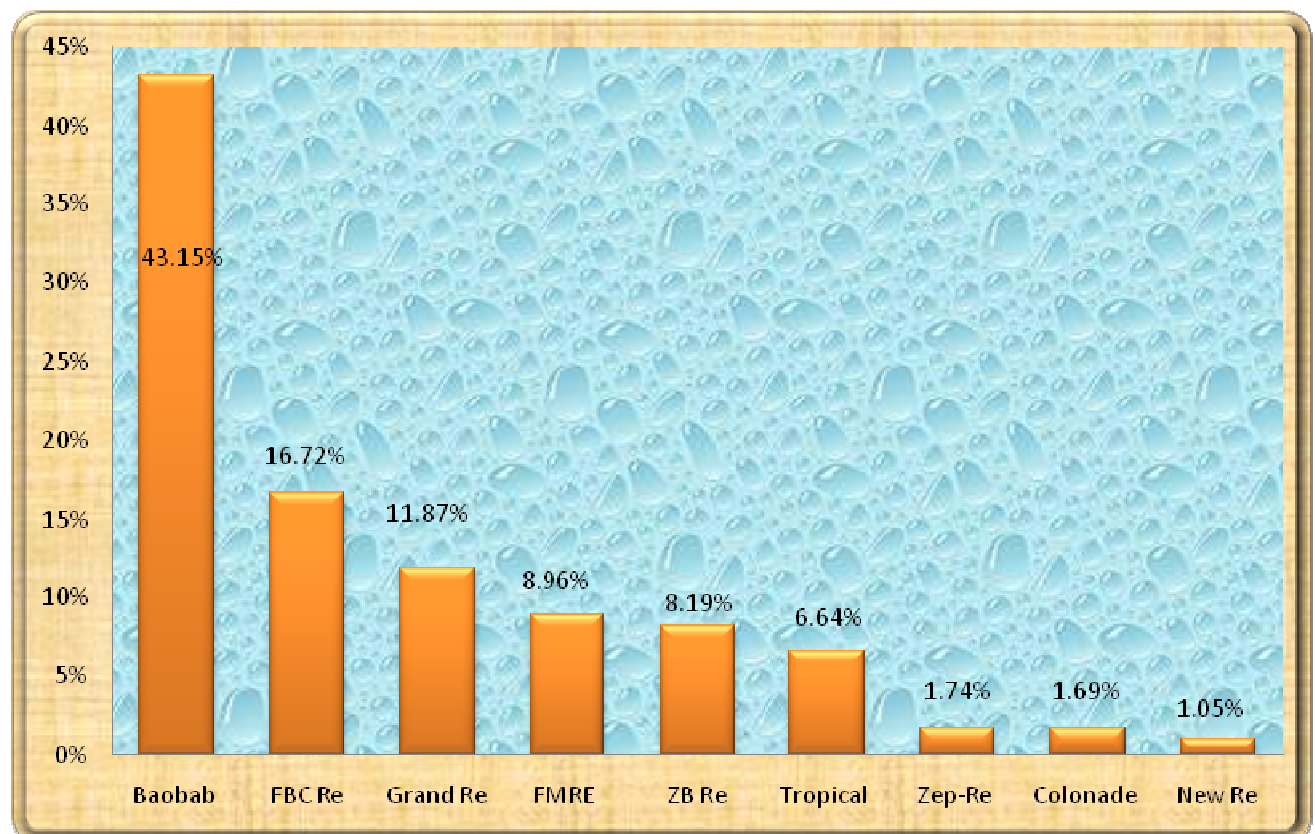


Figure 14: Market Share in Terms of Total Assets



4.8. Retrocession

The short term reinsurers reported an average retention ratio of 75.29% for the year to 30 September 2012, compared to 66.24% reported in the comparative period in 2011 reflecting an increase in the risk appetite. The risk retention ratios for each reinsurer are as shown in the Figure 15 below. As shown in figure 15 below, FBC Reinsurance Company and Baobab Reinsurance Company continued to maintain the highest retention levels compared to their peers, a situation which is also in sync with their relatively strong asset bases.

The reinsurers exhibited high levels of risk appetite in hire purchase and hail insurance as shown by the high retention levels for the same classes in figure 16 below. The volume of business, in terms of gross premium written, generated from these two classes of business contributed a negligible proportion of 1.85%. As a result the vulnerability of the reinsurers from a surge in claims emanating from hire purchase and hail is relatively low compared to other classes of business.

Figure 15: Retention/Retrocession

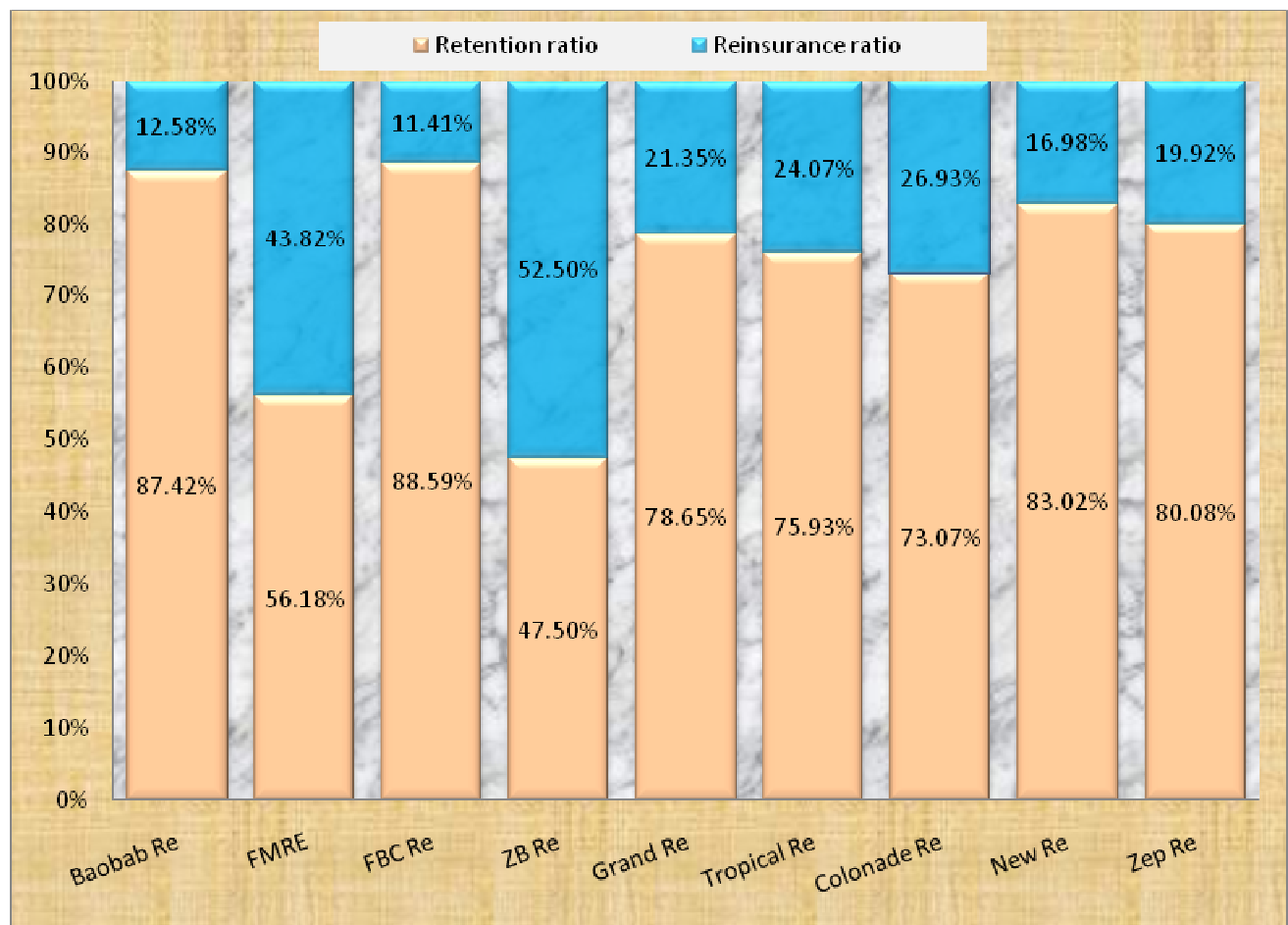
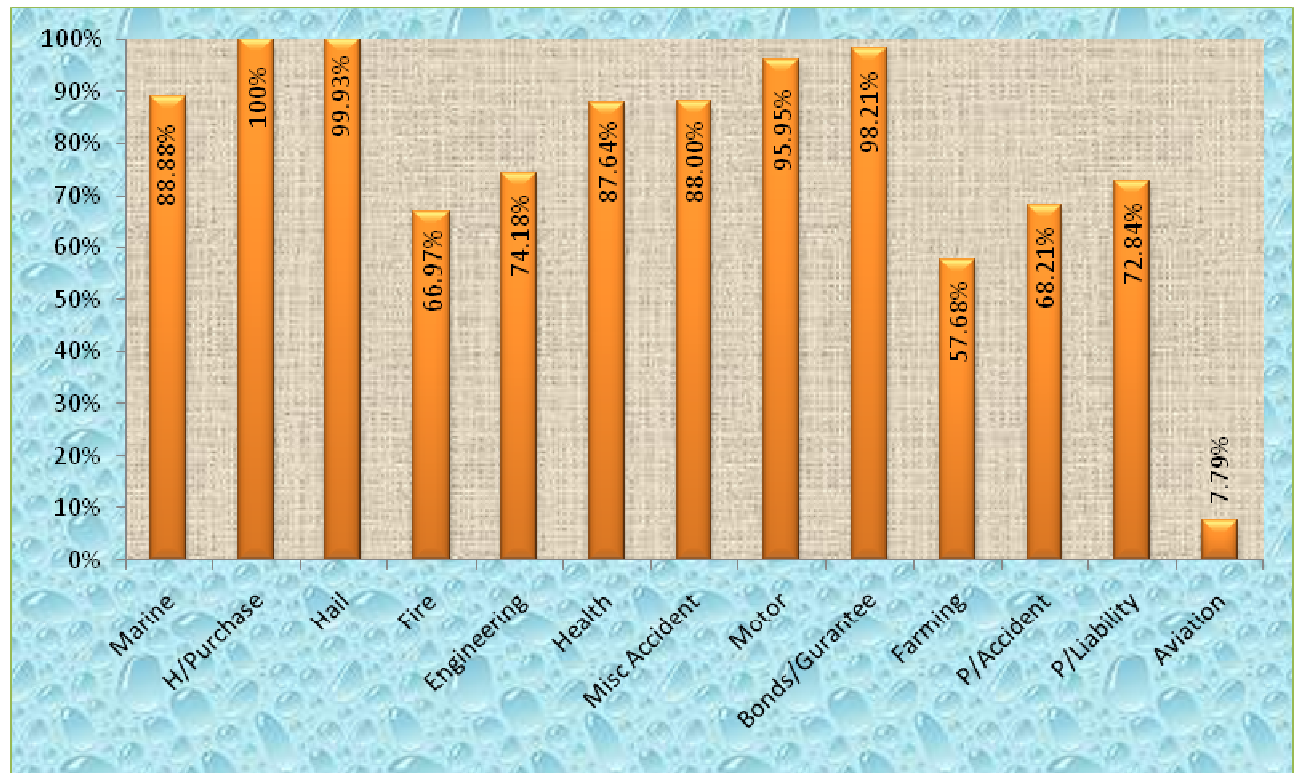


Figure 16: Retention by Class of Business



SECTION C

5. INSURANCE BROKERS

5.1. Update on Number of Insurance Brokers

As at 30 September 2012, there were thirty operational insurance brokers. Aon Zimbabwe (Private) Limited and its sister companies are not compliant with certain provisions of the Insurance Act [Chapter 24:07] and the Pensions and Provident Funds Act [Chapter 24:09]. The Commission has engaged Aon Zimbabwe on several occasions with a view to address the compliance issues. As at the time of compiling this report the entity was given up to 31 December 2012, to address the compliance issues, failure of which the Commission will direct it to stop conducting any insurance and pensions business.

Out of the operational insurance brokers twenty seven insurance brokers submitted quarterly returns for the quarter ended 30 September 2012. Ambassador Insurance Brokers, Rainbow Insurance Brokers and Reinsurance Brokers International did not submit their returns. The Commission has taken necessary action against these brokers and will continue to do so to any broker who fails to submit regulatory returns.

5.2. Business Written

Insurance brokers collected premiums totaling \$77.04 million during the nine months ended 30 September 2012, compared with \$32.55 million reported in the comparative period in 2011. Notwithstanding the fact that a negligible portion of business generated by insurance brokers is channeled to life offices and directly to reinsurers, the business written by insurance brokers accounted for 54.59% of gross premium written by short term insurers.

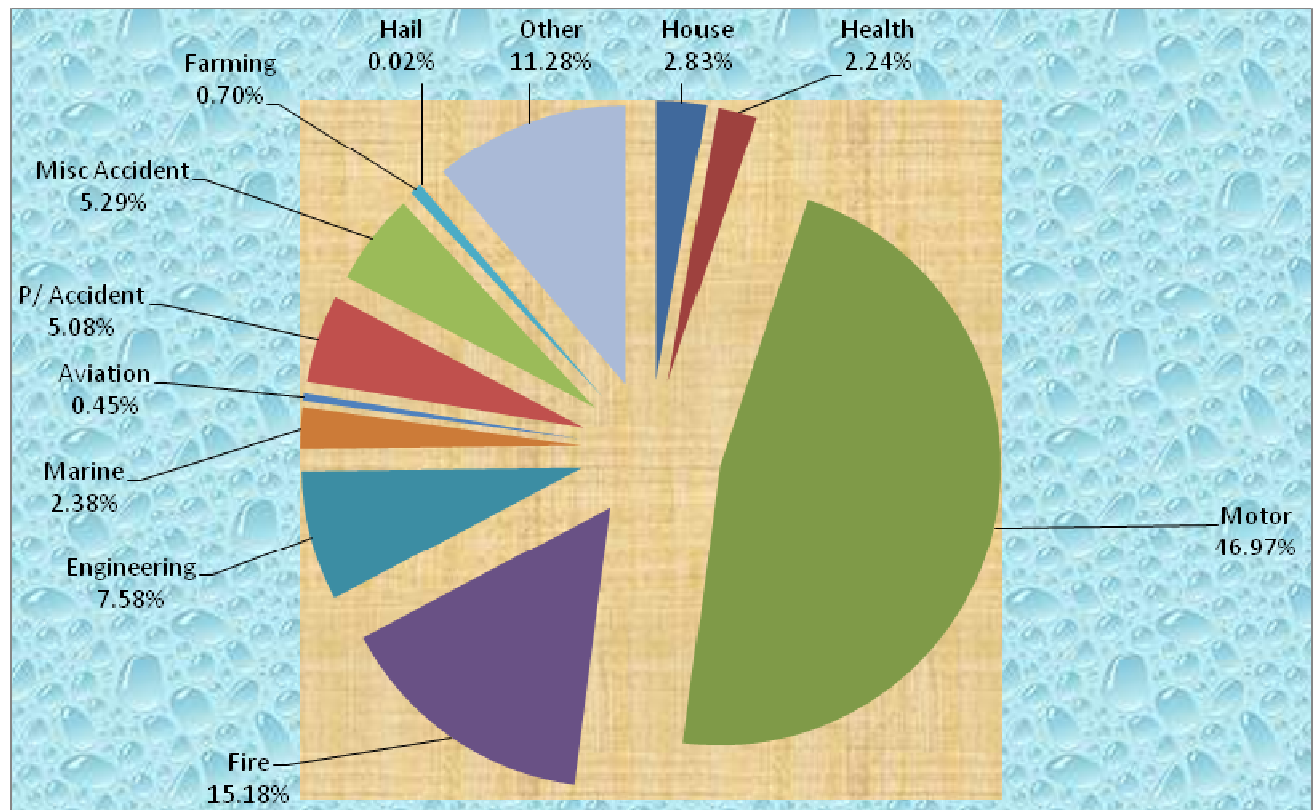
Table 5: Key Performance Indicators (\$ 000)

Indicator	Year to 30 September 2012
Gross Premium Receivable	77,044
Gross premium Payable	66,858
Net Brokerage Commission	9,725
Management Expenses	7,822
Profit Before Tax	2,538
Taxation	478
Profit After Tax	2,060

5.3. Distribution of Gross Premium Written by Business Class

The business generated was skewed towards motor vehicle insurance and fire insurance which constituted 46.97% and 15.18% of total gross premium written respectively. Figure 17 below shows the distribution of business by business class.

Figure 17: Distribution of Business by Gross Premium Written



5.4. Earnings

The insurance brokers reported total profit after tax amounting to \$2.06 million for the nine months ended 30 September 2012, reflecting an improvement from \$0.29 million reported in the comparative period in 2011. The average return on equity for the insurance brokers for the period under review was 23.20%. The insurance brokers' income was largely attributable to net brokerage income which amounted to \$9.72 million, indicating that the bulk of the income was derived from core business which may indicate the sustainability of the income.

5.5. Capitalization

The median capital level recorded as at 30 September 2012 was \$175,000. Insurance brokers should be mindful of the need to maintain adequate levels of professional indemnity as stipulated in Statutory Instrument 34 of 2010 and as revised from time to time. On average, the capital bases for insurance brokers were mainly anchored on retained earnings which contributed 28.24% of the capital base followed by share premium which attributed for 27.59% of the capital base as at 30 September 2012. The breakdown of the capital base is shown in figure 18 below. Hunt Adams Insurance Brokers reported a negative capital position of \$86,000. Capital levels for respective insurance brokers are shown in table 7 below.

The insurance brokers reported an average equity to assets ratio of 26.42% indicating that the operations of the brokers are mainly funded by debt. The insurance brokers' businesses are thus highly leveraged in line with the nature of their business. Total premiums not yet remitted to insurers amounted to \$21.40 million as 30 September 2012, and contributed 72.18% of the insurers' premium receivable. This implies that most of the insurers' premium receivable is in respect of business obtained through brokers. The situation whereby brokers fail to remit premiums timely to insurers may give rise to insurance fraud. In addition the failure to timeously remit premiums to insurers results in an increase in liabilities in form of premium payable which in turn results in understatement of brokers' capital positions. The Commission urges brokers to remit premiums to insurers as early as possible and observe the 30 day period stipulated by the Commission's Circular number 5 of 2007.

Figure 18: Breakdown of the Total Capital Base

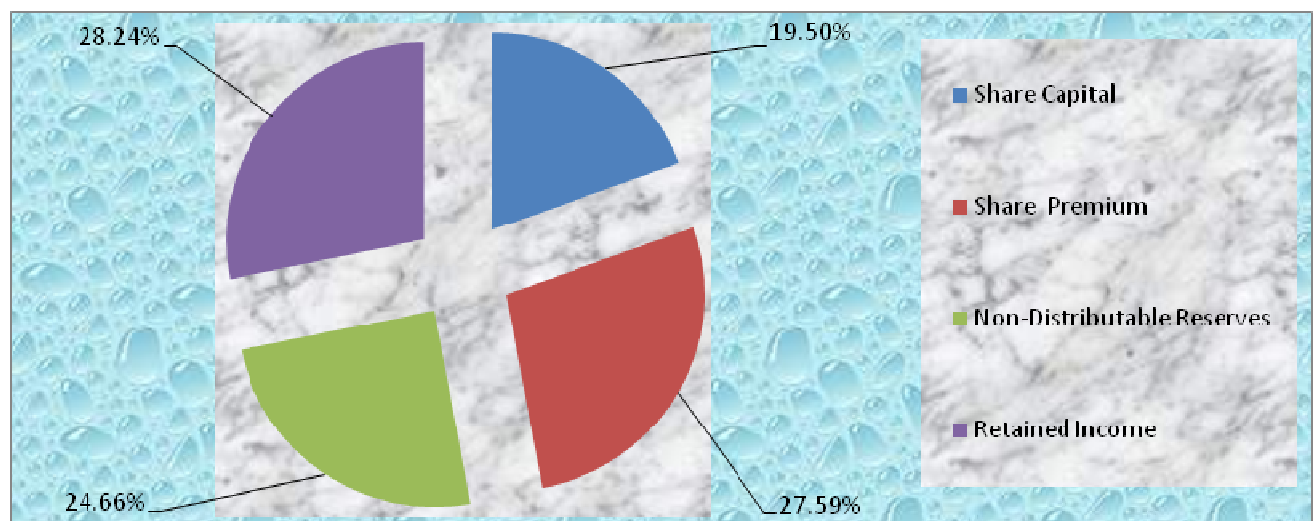


Table 7: Levels of Capitalization (\$ 000)

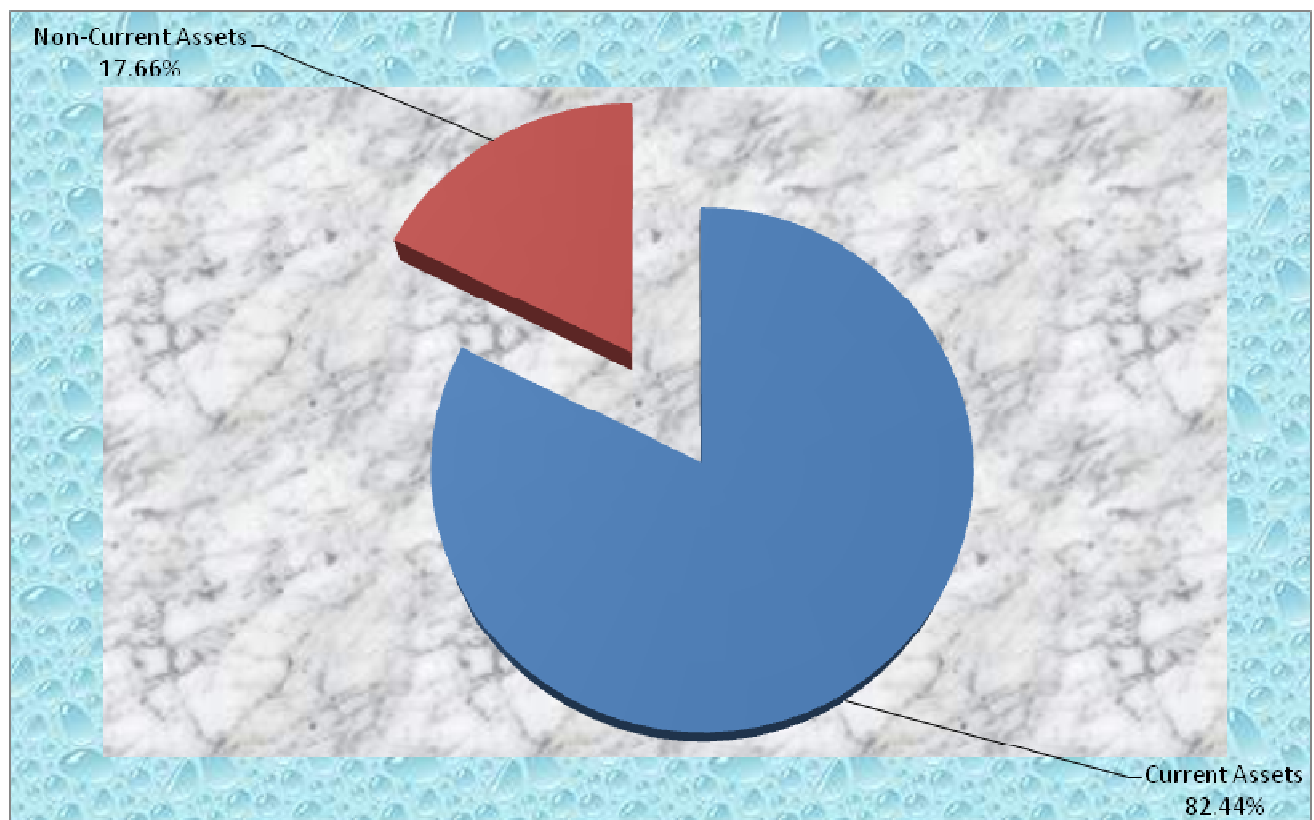
Name of Insurance Broker	Capital as at 30 September 2012
1. Alexander Forbes Risk Services Zimbabwe (Private) Limited	381
2. Amour Khan Insurance Brokers (Private) Limited	161
3. Aon Zimbabwe (Private) Limited*	2,966
4. Auto & General Insurance Brokers (Private) Limited	432
5. Broksure Insurance Brokers (Private) Limited	102
6. Capitol Insurance Brokers (Private) Limited	431
7. Care Insurance Brokers (Private) Limited	144
8. Eaton & Youngs (Private) Limited	346
9. Eureka Insurance Brokers (Private) Limited	185
10. Glenrand MIB (Zimbabwe) (Private) Limited	641
11. Goldstick Insurance Brokers	74
12. HRIB (Private) Limited	154
13. Hunt Adams & Associates (Private) Limited	(86)
14. Insuraserive (Private) Limited	59
15. L. A. Guard Insurance Brokers (Private) Limited	113
16. Marsh Insurance Brokers (Zimbabwe) (Private) Limited	876
17. Matden Reinsurance Brokers (Private) Limited	10
18. Momentum Insurance Brokers (Private) Limited	422
19. Navistar Insurance Brokers (Private) Limited	132
20. Pan African Reinsurance Brokers (Private) Limited	93
21. Paul Mkondo Insurance Brokers (Private) Limited	175
22. Perpro Insurance Brokers (Private) Limited	106
23. Progressive Insurance Brokers (Private) Limited	320
24. SATIB Insurance Brokers	189
25. TIB Insurance Brokers	88
26. Victory Insurance Brokers (Private) Limited	336
27. Zimbabwe Insurance Brokers Limited	265

*The entity conducts direct short term insurance broking, reinsurance broking and pensions administration

5.6. Asset Quality

Insurance brokers reported total assets of \$33.60 million as at 30 September 2012. The total assets were largely skewed towards current assets as shown in figure 19 below. The current assets were mainly made up of commission receivable and, cash and cash equivalents which amounted to \$14.68 million and \$7.86 million, contributing 43.68% and 23.38% of total assets respectively.

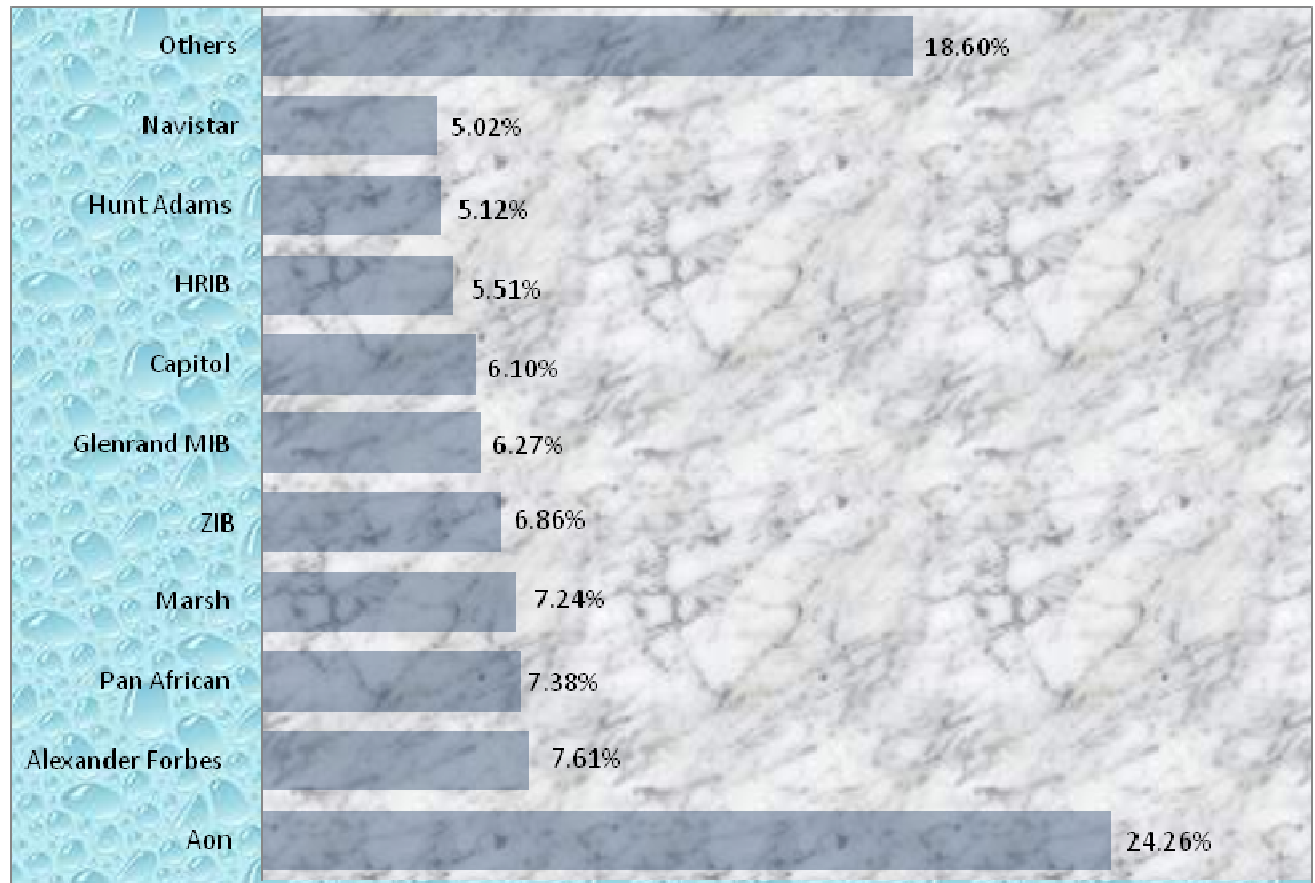
Figure 19: Breakdown of assets as at 30 September 2012



5.7. Market Share for Insurance Brokers

As shown in the diagram below, Aon Zimbabwe (Private) Limited, Alexander Forbes Risk Services, and Pan Africa Reinsurance Brokers were the market leaders with a combined market share of 39.25%.

Figure 20: Market share in Terms of Premium Written



SECTION D

6. APPENDICES

	APPENDIX A: DIRECT INSURERS: STATEMENT OF COMPREHENSIVE INCOME-US\$('000)																								
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Tetrad Hall	Tristar	Zimnat	TOTAL
GPW	17,687	1,557	7,387	5,906	17,218	2,718	1,981	4,094	7,221	2,603	620	3,667	1,019	6,679	1,033	16,373	1,182	693	16,541	162	1,747	4,720	7,837	10,477	141,123
Reinsurance	7,771	912	2,787	3,808	11,036	937	128	2,405	3,064	1,277	155	2,702	450	3,181	78	7,084	151	118	5,829	79	587	3,502	4,294	6,261	68,596
NWP	9,916	645	4,600	2,099	6,182	1,780	1,853	1,689	4,157	1,326	465	965	569	3,498	955	9,289	1,031	575	10,712	83	1,160	1,218	3,543	4,216	72,527
NEP	7,111	426	3,537	1,151	2,877	1,312	1,042	822	2,722	955	452	555	188	2,147	339	6,059	522	429	6,376	87	983	4,192	1,926	2,727	48,938
Net Incurred Claims	4,878	95	1,479	630	1,064	4	297	171	(1,252)	491	40	256	67	925	157	2,876	172	15	3,042	9	1,796	687	539	941	19,378
Net Commission Incurred	1,004	(8)	177	(322)	(316)	148	57	(196)	(218)	101	66	23	29	32	9	738	97	0	855	14	41	(540)	121	(74)	1,837
Technical Result	2,418	751	2,234	1,186	3,012	1,579	1,025	1,196	2,079	645	274	534	253	1,659	525	3,322	523	348	4,653	47	(1,035)	558	1,341	2,750	31,877
Operating Expenses	2,185	331	1,974	1,051	1,802	1,725	942	1,118	1,606	264	189	403	265	1,589	652	3,578	416	698	3,271	141	1,123	859	2,012	2,097	30,290
Underwriting Result	233	421	260	134	1,210	(146)	83	78	473	381	85	131	(12)	70	(127)	(256)	107	(350)	1,382	(94)	(2,158)	(301)	(671)	653	1,587
Investment																									
Investment Income	202	14	11	94	140	27	215	35	10	20	0	45	0.454	151	20	367	27	8	448	62	0	196	95	0	2,188
Unrealised Gains/Losses	23	(13)	(61)	0	0	0	9	15	0	(2)	(452)	(33)	0	0	79	0	112	164	(17)	9	(476)	200	394	0	(50)
Other Income	0	0	0	(10)	0	0	0	0	0	0	0	0	0	(0)	0	183	0	0	0	0	3	309	0	0	484
Profit Before Tax	501	434	299	205	1,753	198	302	113	559	416	85	174	(463)	220	(107)	294	213	(342)	1,900	132	(2,155)	212	(777)	1,050	5,218
Key Ratios																									
Market Share % on GPW	12.5%	1.1%	5.2%	4.2%	12.2%	1.9%	1.4%	2.9%	5.1%	1.8%	0.4%	2.6%	0.7%	4.7%	0.7%	11.6%	0.8%	0.5%	11.7%	0.1%	1.2%	3.3%	5.6%	7.4%	100.0%
Market Share % on NWP	13.7%	0.9%	6.3%	2.9%	8.5%	2.5%	2.6%	2.3%	5.7%	1.8%	0.6%	1.3%	0.8%	4.8%	1.3%	12.8%	1.4%	0.8%	14.8%	0.1%	1.6%	1.7%	4.9%	5.8%	100.0%
Retention Ratio	56.1%	41.4%	62.3%	35.5%	35.9%	65.5%	93.5%	41.3%	57.6%	50.9%	75.0%	26.3%	55.8%	52.4%	92.4%	56.7%	87.2%	83.0%	64.8%	51.2%	66.4%	25.8%	45.2%	40.2%	51.4%
NEP/ NWP	71.7%	66.0%	76.9%	54.9%	46.5%	73.7%	56.2%	48.7%	65.5%	72.0%	97.1%	57.5%	33.0%	61.4%	35.5%	65.2%	50.6%	74.6%	59.5%	104.9%	84.7%	344.2%	54.4%	64.7%	67.5%
Net Claims Incurred Ratio	68.6%	22.3%	41.8%	54.7%	37.0%	0.3%	28.5%	20.8%	-46.0%	51.4%	8.8%	46.2%	35.4%	43.1%	46.4%	47.5%	33.0%	3.5%	47.7%	10.0%	182.7%	16.4%	28.0%	34.5%	39.6%
Net Commission Ratio	14.1%	-2.0%	5.0%	-28.0%	-11.0%	11.3%	5.5%	-23.8%	-8.0%	10.5%	14.5%	4.1%	15.3%	1.5%	2.6%	12.2%	18.6%	0.0%	13.4%	16.0%	4.2%	-12.9%	6.3%	-2.7%	3.8%
Net Expense Ratio	30.7%	77.7%	55.8%	91.3%	62.6%	131.4%	90.4%	136.0%	59.0%	27.7%	41.8%	72.6%	141.0%	74.0%	192.3%	59.1%	79.7%	162.4%	51.3%	161.9%	114.2%	20.5%	104.5%	76.9%	61.9%
Combined Ratio	113.4%	98.0%	102.6%	118.1%	88.6%	143.0%	124.3%	132.9%	5.0%	89.6%	65.1%	122.9%	191.7%	118.6%	241.4%	118.7%	131.2%	166.0%	112.4%	187.9%	301.0%	24.0%	138.7%	108.7%	105.2%
Underwriting Margin	-13.4%	2.0%	-2.6%	-18.1%	11.4%	-43.0%	-24.3%	-32.9%	95.0%	10.4%	34.9%	-22.9%	-91.7%	-18.6%	-141.4%	-18.7%	-31.2%	-66.0%	-12.4%	-87.9%	-201.0%	76.0%	-38.7%	-8.7%	-5.2%

	STATEMENT OF FINANCIAL POSITION-US\$('000)																								
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Tetrad Hall	Tristar	Zimnat	TOTAL
ASSETS																									
LIABILITIES																									
Deferred Tax Liabilities	0	0	81	60	58	0	17	417	(457)	17	42	3	0	0	0	10	11	28	0	0	70	90	139	126	712
Long Term loan	0	0	0	112	0	0	0	7	423	0	0	0	0	0	0	0	0	0	0	51	136	0	0	1,000	1,728
Current Tax provisions	140	58	41	0	109	273	14	525	0	75	91	4	0	142	0	(65)	32	29	264	0	148	156	133	(32)	2,137
Gross Outstanding Claims	994	0	1,402	136	1,600	0	0	0	2,343	0	103	79	0	398	0	1,430	0	0	0	0	0	42	758	677	9,963
IBNR	1,793	184	0	0	0	0	0	0	0	3	0	0	0	0	92	1,407	32	14	1,874	3	502	0	0	0	5,905
UPR	2,546	0	1,689	2,674	1,436	568	503	0	694	117	40	265	0	1,028	0	2,512	0	0	0	0	0	0	1,072	843	15,986
Unearned Premium	0	536	0	0	0	0	0	0	0	0	0	0	0	0	0	274	451	10	2,767	6	256	0	0	0	4,300
Reinsurance & Other Creditors	2,468	76	2,191	1,256	1,826	582	0	0	540	585	34	143	0	1,488	0	1,975	19	72	273	5	823	2,349	1,635	809	19,150
Other Creditors	0	30	384	260	0	82	580	0	764	26	43	77	0	26	0	0	8	259	510	0	441	695	493	97	4,775
TOTAL LIABILITIES	7,941	884	5,788	4,498	5,029	1,505	1,114	949	4,307	823	352	572	0	3,082	92	7,543	553	412	5,688	65	2,377	3,331	4,228	3,521	64,655
SHAREHOLDERS' EQUITY																									
Share Capital	301	68	300	50	620	382	300	2	1	120	300	33	500	700	400	2,829	120	320	300	100	501	1,000	0	553	9,798
Share Premium	0	446	625	590	0	0	0	1,824	0	7	167	294	1,500	0	637	3,279	0	0	0	700	1,602	79	0	0	11,750
Revaluation & Other Reserves	1,141	0	422	0	715	3	111	167	2,937	0	0	134	11	180	0	0	49	265	1,339	0	298	344	2,498	1,260	11,875
Retained Profit	1,259	212	592	461	3,239	281	114	769	(1,030)	749	86	47	(1,096)	364	107	1,908	377	212	3,088	55	(3,530)	338	(1,238)	1,130	8,494
Shareholders's Equity	2,701	726	1,939	1,101	4,574	665	525	2,763	1,908	876	553	507	915	1,244	1,144	8,016	546	798	4,728	855	(1,130)	1,761	1,260	2,942	41,917
TOTAL EQUITY & LIABILITIES	10,642	1,610	7,727	5,599	9,602	2,170	1,639	3,712	6,215	1,699	905	1,079	915	4,327	1,236	15,559	1,099	1,209	10,415	920	1,247	5,093	5,489	6,463	106,572
Key Ratios																									
Shareholders' Equity / NWP	27.2%	112.5%	42.2%	52.4%	74.0%	37.4%	28.3%	163.6%	45.9%	66.1%	118.8%	52.6%	0.0%	35.6%	119.8%	86.3%	53.0%	138.6%	44.1%	1030.9%	-97.4%	144.6%	35.6%	69.8%	57.8%
% of Debtors / Total Assets	25.0%	46.7%	43.7%	32.8%	3.3%	49.1%	51.1%	44.4%	20.6%	15.9%	9.6%	13.7%	0.0%	23.8%	0.0%	31.4%	6.5%	23.0%	5.5%	0.1%	46.6%	5.7%	22.8%	16.3%	23.6%
% of Investments / Total Asset	31.6%	21.4%	21.6%	4.8%	3.5%	2.6%	30.7%	7.6%	3.8%	7.7%	43.5%	31.3%	48.6%	28.2%	58.6%	48.1%	60.2%	0.1%	55.2%	96.2%	6.2%	40.8%	56.5%	28.6%	30.7%

	APENDIX B: REINSURERS: STATEMENT OF COMPREHENSIVE INCOME-US\$('000)								
	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
Gross Written Premiums	15,048	2,019	10,338	13,741	5,899	669	8,033	10,933	69,511
Reinsurance Premiums	1,893	885	1,180	7,214	1,259	161	2,163	1,857	17,175
Net Written Premiums	13,155	1,134	9,158	6,527	4,640	508	5,870	9,076	52,336
Net Earned Premiums	8,152	558	4,925	4,019	3,259	359	3,622	6,344	32,342
Net Incurred Claims	3,459	57	1,993	1,742	1,666	105	1,840	2,370	14,082
Net Commission Incurred	2,786	171	1,940	951	995	90	890	1,972	10,458
Technical Result	3,520	446	2,635	1,757	1,399	310	1,814	2,120	14,383
Operating Expenses	7,327	397	1,858	1,963	993	201	641	1,755	15,314
Underwriting Result	(3,807)	49	777	(207)	406	109	1,173	365	(931)
Investment									
Investment Income	303	33	637	899	(12)	0	87	283	2,230
Unrealised Gains/Losses	(120)	0	46	(960)	0	(1)	0	0	(1,035)
Other Income	1	0	0	0	0	0	0	0	1
Profit Before Tax	(3,622)	82	1,586	(264)	394	108	1,261	648	453
Key Ratios									
Market Share based on GWP	21.6%	2.9%	14.9%	19.8%	8.5%	1.0%	11.6%	15.7%	100.0%
Market Share based on NWP	25.1%	2.2%	17.5%	12.5%	8.9%	1.0%	11.2%	17.3%	100.0%
Retention Ratio	87.4%	56.2%	88.6%	47.5%	78.7%	75.9%	73.1%	83.0%	75.3%
NEP/ NPW	62.0%	49.2%	53.8%	61.6%	70.2%	70.7%	61.7%	69.9%	61.8%
Net Claims/NEP	42.4%	10.2%	40.5%	43.3%	51.1%	29.2%	50.8%	37.4%	43.5%
Net Commission Ratio	34.2%	30.7%	39.4%	23.7%	30.5%	25.1%	24.6%	31.1%	32.3%
Net Expense Ratio	89.9%	71.3%	37.7%	48.8%	30.5%	56.0%	17.7%	27.7%	47.4%
Combined Ratio	166.5%	112.2%	117.6%	115.9%	112.2%	110.3%	93.1%	96.1%	123.2%
Underwriting Margin	-66.5%	-12.2%	-17.6%	-15.9%	-12.2%	-10.3%	6.9%	3.9%	-23.2%

	STATEMENT OF FINANCIAL POSITION-US\$('000)								
	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	33,477	475	3,626	6,485	9,151	563	2,238	2,150	59,241
Investments	32,461	476	3,173	5,518	8,785	384	1,741	1,317	53,855
	65,938	951	6,799	12,003	17,935	947	3,979	3,467	112,020
Technical Assets									
Reinsurers' Share of O/ Claims	0	0	4,713	0	451	0	0	0	5,164
Provision for UCR	1,939	0	949	492	711	0	0	0	4,091
	1,939	0	5,662	492	1,162	0	0	0	9,255
Current Assets									
Premium Receivables	6,212	1,097	2,617	1,865	2,385	477	4,012	4,607	23,272
Other Debtors & Inventory	2,887	61	357	224	12	13	162	280	3,997
Accrued Investment income	11	0	58	43	0	0	329	0	442
Cash & cash equivalents	312	12	4,869	129	596	59	518	1,663	8,157
	9,422	1,170	7,901	2,262	2,993	549	5,021	6,550	35,868
TOTAL ASSETS	77,299	2,121	20,363	14,756	22,091	1,496	9,000	10,017	157,144
LIABILITIES									
Deferred Tax Liabilities	296	0	(675)	(458)	0	0	(46)	654	(229)
Current Tax provisions	15	0	(6)	0	0	20	0	(137)	(108)
Long term loan	0	0	0	0	300	0	0	0	300
IBNR	3,929	0	0	0	984	0	1,167	815	6,894
Gross Outstanding Claims	0	24	6,663	497	0	72	0	432	7,688
UPR	0	213	3,017	1,854	0	286	0	2,429	7,800
Unearned Premiums	5,171	0	0	716	1,892	0	1,647	0	9,426
Reinsurance & Other Creditors	5,173	0	1,906	1,447	333	219	2,207	879	12,165
Other Creditors	1,778	804	0	187	130	0	187	0	3,087
TOTAL LIABILITIES	16,361	1,042	10,906	4,243	3,639	597	5,162	5,073	47,023
SHAREHOLDERS' EQUITY									
Share Capital	400	5	600	1	400	400	227	5	2,038
Share Premium	23,972	548	2,203	3,004	0	0	0	495	30,222
Revaluation & Other Reserves	6,613	0	3,225	254	5,246	141	0	11	15,489
Retained Profit	(2,144)	52	185	952	3,969	(28)	1,658	2,960	7,604
Shareholders's Equity	28,842	604	6,213	4,210	9,615	513	1,885	3,471	55,353
TOTAL EQUITY & LIABILITIES	45,203	1,646	17,119	8,454	13,254	1,110	7,047	8,544	102,376
Key Ratios									
Shareholders' Equity / NWP	219.2%	53.3%	67.8%	64.5%	207.2%	101.0%	32.1%	38.2%	105.8%
% of Debtors / Total Assets	8.0%	51.7%	12.9%	12.6%	10.8%	31.9%	44.6%	46.0%	14.8%
% of Investments / Total Assets	42.0%	22.4%	15.6%	37.4%	39.8%	25.7%	19.3%	13.1%	34.3%

				APPENDIX C: BROKERS: STATEMENT OF COMPREHENSIVE INCOME-US\$('000)																							
	Alexander Forbes	Amour Khan	Aon Zim	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand MIB	Goldstick	HRIB	Hunt Adams	Insuraverse	L.A.Guard	Marsh	Matden Re	Momentum	Navistar	Pan African Re	Paul Mkondo	Perpro	Progressive	TIB	Victory	ZIB	Total
Gross Premium Receivable	5,863	136	18,694	29	0	4,696	1,409	3,738	1,557	4,832	170	4,244	3,947	1,559	479	5,574	541	1,188	3,870	5,685	65	390	2,314	469	310	5,285	77,044
Gross Premium Payable	4,891	26	17,686	26	0	3,874	1,148	3,738	1,102	3,939	138	3,520	3,281	1,302	404	4,444	522	988	3,299	5,481	54	253	1,737	371	265	4,372	66,858
Brokerage Commission	972	110	1,008	4	0	822	261	617	455	893	32	723	667	257	75	1,130	19	200	572	205	11	136	577	98	46	913	10,186
less Commission paid	76	0	0	0	0	0	0	9	0	13	12	144	37	0	0	9	0	0	0	0	0	1	160	0	0	0	462
Net Brokerage Commission	896	110	1,008	3	0	822	261	608	455	880	20	579	630	257	75	1,122	19	200	572	205	11	135	418	98	46	913	9,725
Other Income	45	0	0	14	0	17	5	68	5	56	21	0	47	34	6	4	12	16	16	15	38	10	3	3	16	184	635
Less Administration expenses	726	23	555	18	0	599	268	581	428	738	36	558	714	260	52	583	35	229	551	167	41	135	399	128	44	1,064	8,933
Profit Before Tax	215	87	452	0	0	241	(2)	95	32	197	5	21	(38)	31	30	543	(4)	(14)	36	52	7	10	21	27	18	34	1,427
Taxation	63	1	116	0	0	0	21	26	0	60	1	7	0	8	17	118	(1)	(4)	11	13	1	1	0	4	5	8	478
Profit after Tax	153	86	336	0	0	241	(23)	69	32	137	4	14	(38)	23	13	425	(3)	(9)	25	39	7	9	21	23	12	25	949
Key Ratios																											
Market Share based on GPI	7.6%	0.2%	24.3%	0.0%	0.0%	6.1%	1.8%	4.9%	2.0%	6.3%	0.2%	5.5%	5.1%	2.0%	0.6%	7.2%	0.7%	1.5%	5.0%	7.4%	0.1%	0.5%	3.0%	0.6%	0.4%	6.9%	100.0%

						STATEMENT OF FINANCIAL POSITION-US\$('000)																									
	Alexander Forbes	Amour Khan	Aon Zim	Auto & General	Broksure	Capitol	Care	Eaton & Young	Eureka	Glenrand MIB	Goldstick	HRIB	Hunt Adams	Insuraverse	L.A.Guard	Marsh	Matden Re	Momentum	Navistar	Pan African Re	Paul Mkondo	Perpro	Progressive	TIB	Victory	ZIB	Total				
LIABILITIES																															
shareholder's Equity																															
Share Capital	500	32	33	310	20	116	77	0	50	50	0	1	1	0	100	5	0	100	65	1	20	40	120	50	0	50	1,741				
Share Premium	627	0	1,178	83	68	0	37	0	0	0	0	0	0	0	0	0	10	0	0	38	126	0	0	0	297	0	2,463				
Non-Distributable Reserves	52	100	577	38	12	0	0	125	28	58	70	21	47	0	0	578	0	92	13	0	67	20	100	16	0	189	2,202				
Retained Income	(798)	29	1,178	1	2	316	30	221	106	533	4	133	(134)	59	13	294	0	230	54	54	(39)	46	100	23	40	26	2,521				
shareholder's Equity	381	161	2,966	432	102	431	144	346	185	641	74	154	(86)	59	113	876	10	422	132	93	175	106	320	88	336	265	8,927				
Current liabilities																															
Payable Premiums	910	110	13,146	0	58	188	0	148	155	1,090	5	364	784	468	478	1,086	137	370	300	662	10	3	358	237	19	311	21,397				
Other Liabilities	70	0	689	5	1	0	2	36	442	50	16	0	9	0	0	13	23	80	155	15	10	0	3	18	4	184	1,823				
Brokers commision payable	0	0	0	0	0	12	0	0	0	39	0	2	0	0	0	70	0	0	0	0	9	0	7	37	0	74	249				
Provisions	0	0	0	0	0	33	0	0	0	22	0	35	31	0	0	81	0	0	0	4	0	0	172	15	0	0	394				
Sundry creditors	12	0	0	0	0	19	0	0	0	3	0	15	32	0	0	11	0	0	0	5	0	2	14	2	0	0	115				
Taxation	0	0	0	0	0	0	0	(15)	0	30	0	(2)	0	0	0	0	(1)	0	0	0	0	0	0	0	0	0	12				
witholding Tax	0	0	0	0	0	0	0	0	0	0	0	1	0	0	0	0	0	0	0	0	0	0	0	0	0	0	1				
Total Current Liabilities	992	110	13,835	5	58	252	2	169	597	1,235	22	416	856	468	478	1,261	158	449	455	686	28	6	553	308	23	570	23,990				
TOTAL LIABILITIES & EQUITY	1,373	271	16,801	437	160	683	146	515	782	1,876	96	570	770	527	591	2,137	168	872	586	779	203	112	873	396	359	835	32,918				
Assets																															
Non - Current Assets																															
Property and Equipment	0	23	0	65	0	0	7	0	0	0	0	0	0	0	0	0	0	4	2	0	0	0	0	1	10	139	252				
Land & Buildings	0	0	0	140	0	0	90	140	55	0	100	350	5	120	36	150	0	0	65	55	104	0	180	0	0	45	1,635				
Furniture and Fittings	8	15	233	45	14	15	2	130	9	218	4	7	8	30	6	22	3	15	27	12	33	13	12	2	7	11	902				
Motor Vehicles	54	35	294	105	20	73	0	0	22	0	9	158	15	24	18	21	3	49	128	33	11	37	65	23	7	27	1,230				
Computer Equipment	45	10	156	3	13	8	3	0	7	0	4	30	14	5	12	15	0	5	13	8	8	4	8	10	5	31	417				
Computer Software	0	4	22	2	0	0	1	0	0	0	0	26	23	1	18	0	0	0	0	0	0	0	0	0	0	0	97				
Investments	0	0	21	18	0	109	16	0	236	230	0	0	0	7	42	0	0	156	49	0	17	31	19	0	130	84	1,164				
Other	0	0	0	0	0	0	0	0	0	0	0	0	2	0	13	11	0	1	0	0	8	4	0	0	175	24	238				
Total Non- Current Assets	106	87	726	378	48	205	119	270	330	448	117	572	66	187	144	220	6	230	282	108	180	90	283	37	334	360	5,934				
Current Assets																															
Commission Receivable	0	26	12,095	8	14	4	1	0	0	0	2	111	498	0	75	603	0	0	176	401	0	0	546	0	4	115	14,679				
Accured Investment Income	0	1	3	16	0	0	1	0	0	0	0	0	71	0	6	85	0	0	0	0	19	0	0	0	33	0	236				
Other Debtors & Inventory	713	0	322	0	94	121	5	94	185	1,332	0	23	0	502	350	117	1	634	11	0	1	7	168	175	6	35	4,897				
Cash & Cash Equivalents	578	0	3,655	35	4	359	22	151	274	95	6	139	135	147	16	1,131	163	125	116	271	2	23	(96)	139	3	363	7,857				
Total Current Assets	1,291	28	16,075	59	112	485	29	245	459	1,427	9	273	704	650	448	1,936	164	760	304	672	23	31	618	314	45	513	27,670				
Total Assets	1,397	115	16,801	437	160	689	148	515	789	1,876	126	845	770	837	591	2,155	170	990	586	779	203	120	900	351	379	873	33,603				